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April 15, 1998

To: Members of the Executive Board

From: The Secretary

Subject: **Chad—Request for Third Annual Arrangement Under the
Enhanced Structural Adjustment Facility**

Attached for consideration by the Executive Directors is a request from Chad for the third annual arrangement under the Enhanced Structural Adjustment Facility. A draft decision appears on page 21. This subject, together with the policy framework paper for Chad (EBD/98/35, 4/15/98), is tentatively scheduled for discussion on Wednesday, April 29, 1998.

Mr. Plant (ext. 38736) or Mr. Abdoun (ext. 38394) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Thursday, April 23, 1998, and to the African Development Bank (AfDB) and the European Commission (EC), following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

CHAD

**Request for Third Annual Arrangement
Under the Enhanced Structural Adjustment Facility**

Prepared by the African Department

(In consultation with the Legal, Monetary and Exchange Affairs,
Policy Development and Review, Statistics, and Treasurer's Departments)

Approved by Ernesto Hernández-Catá and Carlos Muniz

April 15, 1998

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EXECUTIVE SUMMARY

Background

A three-year arrangement under the ESAF, in an amount equivalent to SDR 49.56 million (120 percent of quota), was approved on September 1, 1995. The second annual arrangement expired at end-June 1997. In 1997, Chad completed the process of putting in place its first democratically elected political institutions since independence.

Recent economic and financial developments

- Discussions on a third annual ESAF arrangement could not be concluded in August 1997 because of lack of progress in structural reform and persistent weaknesses in budgetary management. The authorities used the last four months of 1997 as a period of program consolidation.
- In 1997, real GDP rose by 6.5 percent as a result of a good crop year and a continued recovery in the industrial sector. Inflation averaged 5.6 percent, with the increase in prices in the twelve-month period ended December 1997 at less than 1 percent.
- The fiscal performance improved markedly in 1997, with revenue growing by 15 percent, while current expenditure fell by 5 percent. However, revenue had been programmed to increase by 25 percent, so the current fiscal deficit, at 0.7 percent of GDP, was 0.5 percent of GDP higher than targeted. Sectoral spending was in line with budgetary appropriations, including expenditure on health and education and transfers to the social security institutions.
- Chad's balance of payments deteriorated in 1997 because of a deterioration of the terms of trade, a widening of the services deficit, and a reduction in exceptional financing.
- Structural reform regained momentum in the second half of the year with the privatization of three enterprises and the beginning of the revision of regulations governing water, electricity and telecommunications.
- New national accounts were adopted by the government early in 1998.

The 1998–99 program

- The third year program envisages economic growth of 6 percent and inflation of 3.5 percent in 1998. With strong cotton exports and an improvement in the terms of trade, the external current account is expected to narrow from 20 percent of GDP in 1997 to 17 percent in 1998.
- Fiscal consolidation remains at the core of the program. On the revenue side, the program focuses on the strengthening of customs, particularly through the control of exemptions. On the expenditure side, the program calls for continued restraint in wage

spending, for an increase in resources for operating expenditures, especially in health and education, and for a higher domestic contribution to public investment. The budgetary current account is projected to run a surplus of 0.7 percent of GDP, while the overall fiscal deficit is to be reduced below 9 percent of GDP. The first set of recommendations on the reform of the civil service will be adopted by the government by end-September 1998. By the same date, the results and recommendations of the audits of the two social insurance agencies will be available.

- The reform of the parastatal sector will include development of a strategy, in coordination with the World Bank, to reform the cotton sector, centered on lifting the monopolies held by the cotton company and the privatization of its oil and soap manufacturing unit. In addition, the program calls for the privatization of the sugar company, two banks, the telecommunications company, the airline, the road maintenance firm, and a slaughterhouse. Also, the management of the electricity company will be taken over by a private operator.

- Chad's medium-term balance of payment outlook will be affected by the investments related to the exploitation of the country's oil reserves, thus keeping the current account deficit (excluding transfers) slightly above 19 percent of GDP. The Executive Board of the World Bank is scheduled to consider sometime this summer financial support for the construction of a pipeline for Chad's oil exports.

- Chad's external debt service obligations over the medium and long term appear to be sustainable.

I. INTRODUCTION

1. Discussions on an economic and financial program for Chad that could be supported by a third annual arrangement under the Enhanced Structural Adjustment Facility (ESAF) resumed¹ in N'Djamena during the period January 27-February 10, 1998.² A three-year arrangement under the ESAF, in an amount equivalent to SDR 49.56 million, or 120 percent of quota, was approved on September 1, 1995. In the attached letter from the Minister of Economy and Finance, dated April 13, 1998, Chad requests the third annual arrangement under the ESAF, covering the program period from April 1, 1998 to March 31, 1999, in an amount equivalent to SDR 16.52 million (40 percent of quota), in support of the program outlined both in the memorandum of economic and financial policies (Appendix I, Attachment) and in the policy framework paper (PFP) (EBD/98/35). Because the commitment period of the three-year ESAF arrangement will expire on August 31, 1998, which is prior to the date envisaged for the disbursement of the second loan under the third annual ESAF arrangement, the authorities have requested an extension of the three-year commitment period until March 31, 1999.

2. As of March 31, 1998, Chad's outstanding use of Fund resources amounted to SDR 44 million, equivalent to 106.6 percent of quota. Assuming full disbursement of the loans under the third annual ESAF arrangement, and taking into account scheduled repayments over this period, Chad's financial obligations to the Fund would amount to SDR 53.6 million, or 129.8 percent of quota, at end-December 1998 (Table 6). Chad's program of structural reform continues to receive support from the World Bank and other donors. Chad's relations with the Fund and the World Bank Group are summarized in Appendixes II and III, respectively.

3. The statistical system remains weak in Chad, although a major step forward was taken with the adoption of new national accounts (Box 1), and government finance statistics have improved. Further work is necessary in the monetary and balance of payments statistics.

¹Discussions on a third annual arrangement began in August 1997 but were not completed because of lack of progress in key areas of structural reform and persistent weaknesses in budgetary management.

²The mission met with the Prime Minister, the Minister of Finance and Economy, the Minister of Planning, as well as with the ministerial committee responsible for the implementation of the structural adjustment program. The staff team consisted of Mr. Plant (head), Messrs. Abdoun, Randriamaholy and Weidmann (EP), all AFR, and Ms. Adidi (assistant-ADM). Mr. Kudiwu, Assistant to the Executive Director for Chad, participated in the discussions, as did a team from the World Bank.

**Box 1. The New National Accounts and
Key Macroeconomic Ratios**

In January 1998, the authorities adopted a new set of national accounts. These new accounts, based in 1995, are comprehensive and consistent with the methodology of the United Nations 1993 System of National Accounts. For the first time, they include an input-output table.

In the new accounts, GDP is on average 40 percent higher than previously estimated. This is because of two adjustments that have been introduced: (a) incorporation of nonmarket household production, which represents some 10 to 12 percent of the new GDP; and (b) better coverage of the informal sector, consistent with the survey on consumption and the informal sector undertaken in 1995, which resulted in an upward revision of some 15 percent of the value added of the commerce, transportation, and non-government services sectors. These adjustments are important, given the state of the Chadian economy, which is still recovering from a 30-year civil war. In particular, it is expected that household subsistence activity will continue to be a major source of income for the poorest segments of the Chadian population.

As a result of these adjustments, all the program ratios to GDP have changed. In particular, as indicated below, the revenue-to-GDP ratio is now more than 2 percentage points lower than previously estimated, confirming the existence of systemic weaknesses in revenue collection. While such an abrupt change made the authorities reluctant to adopt the new accounts, the staff explained that the required improvement in revenue performance implied by the new ratios should be achieved progressively, in line with the ongoing strengthening and modernization of the various revenue-collection agencies.

Key macroeconomic ratios	1994	1995	1996	1997
	(In percent of GDP, unless otherwise specified)			
New national accounts system				
Total revenue	4.9	6.2	7.1	7.3
Total expenditure	19.1	18.1	18.1	17.2
Fiscal current deficit/surplus (-/+)	-5.1	-2.8	-2.1	-0.7
External current account deficit/surplus (-/+)	-20.9	-18.9	-19.2	-20.2
External debt outstanding	60.1	54.2	50.2	49.5
GDP (in billions of CFA francs)	655	720	838	936
Old national accounts				
Total revenue	6.9	8.5	9.9	10.2
Total expenditure	27.1	24.8	25.3	24.0
Fiscal current deficit/surplus (-/+)	-7.3	-3.8	-2.9	-1.0
External current account deficit/surplus (-/+)	-29.7	-25.9	-26.9	-28.1
External debt outstanding	85.3	74.2	70.1	69.2
GDP (in billions of CFA francs)	461	525	600	670

II. BACKGROUND AND DEVELOPMENTS IN 1997

4. In the last two years, Chad put in place its first democratically elected political institutions since the country gained independence in 1961. In 1996, a constitutional referendum was held, followed by multiparty presidential elections in which the incumbent was elected. A pluralistic parliament was seated in the first quarter of 1997, and a new

government, committed to economic reform, was installed shortly thereafter.³ Political support for the adjustment program remains strong, as the government continues to discuss its policies with a wide range of social partners. The government has decided to publish the PFP.

5. Chad has made significant progress since mid-1995 when it embarked on a comprehensive structural adjustment program,⁴ and the economic and financial situation of the country has improved markedly.⁵ However, beginning in late 1996, program implementation began to lose momentum, resulting in delays in structural reform and weak budgetary management and expenditure control. In March 1997, the authorities adopted strong *corrective measures to address the fiscal problems; at the same time, they reiterated their commitment to press ahead with structural reform of the cotton, sugar, electricity and water, and telecommunications sectors, and to advance the preparations for a comprehensive reform of the civil service.* However, little progress was made in the second and third quarters of 1997, and the discussions on a third annual arrangement could not be concluded in August 1997. The authorities used the remaining months of 1997 as a period of program consolidation. Drawing on a set of staff recommendations, they implemented remedial measures that laid a stronger foundation for the success of a third annual arrangement. These measures, outlined in Box 2, centered on strengthening the public finances, putting in place the technical underpinnings of structural reform, and enhancing program monitoring.

6. In 1997, the economic situation was satisfactory, financial conditions improved markedly, and some progress was made during the last few months of the year in advancing structural reforms. According to preliminary estimates, real GDP growth was 6.5 percent (Tables 1 and 2 and Figure 1).⁶ In the agricultural sector, the output of foodstuffs rose by 6 percent, and the cotton harvest reached a record 300,000 tons—an increase of 41 percent over 1996—because of good weather and structural improvements in the agricultural sector. In the industrial sector, handicraft activity expanded by some 6 percent, the volume of cotton fiber production surged by about 40 percent, and that of sugar and beverages by 13 and

³There was a cabinet reshuffle at the beginning of 1998, and the ministries of Finance and Planning, which had been merged in the previous government, were separated.

⁴Reforms in the first two years of the ESAF arrangement are detailed in EBD/96/160 and EBD/97/91.

⁵In the period 1995-96, real GDP growth averaged 2.2 percent per year, despite a severe drought that constrained production of foodstuffs and kept annual inflation at 10 percent. The current budget deficit was reduced sharply, reaching 2.1 percent of GDP in 1996 as against 5.1 percent in 1994. The external current account declined to the equivalent of 19 percent of GDP in 1996 from 21 percent in 1994, and some CFAF 49 billion of external and domestic arrears were cleared. (see EBS/96/160 and EBS/97/91). All the above ratios are relative to the new measure of GDP (see Box 1).

⁶These estimates are based on the new national accounts (Box 1).

10 percent, respectively. Inflation averaged 5.6 percent in 1997, compared with 11 percent in 1996. For the 12-month-period that ended December 1997, inflation was even lower, only 0.6 percent, as a decline in prices during the second half of the year almost offset an 8.4 percent increase in the first semester.

Box 2. Measures Implemented Since the August 1997 Mission

Public finances

Revenue

- Implementation of FAD recommendations regarding the improvement of revenue collection and the establishment of a system for budgeting tax exemptions on government contracts.
- Issuance of special treasury checks to initiate the budgeting of tax exemptions on government contracts in September 1997.
- Request to the Fund for technical assistance on customs administration.

Expenditure

- Approval of a supplementary budget to include payment of Chad's contribution to the IFC and the reintegration of military personnel.
- Restriction of spending outside budgetary channels to the most urgent and exceptional cases, immediate regularization of such spending, and clarification and regularization of loans from the social security agency (CNPS) in 1996 and 1997.
- Acceleration of spending in priority sectors.
- Full payment of government obligations to the civil service retirement fund (CNRT) and the CNPS.
- Official validation of the stock of central government arrears to public enterprises and agencies, and establishment of a plan to clear these arrears.

Structural reforms

Cotton sector

- Establishment of a technical support unit for cotton reform in September 1997.
- Start of preparations to lift the monopoly of the cotton company (COTONTCHAD) in 1998.

Sugar sector

- Transmittal of a report on the government divestiture of the sugar company (SONASUT) in November 1997.
- Decision to phase out the reference value of imported sugar.

Electricity and water

- Finalization of the sectoral reform strategy.
- Analysis of the impact of cancellation of the electricity and water company's external debt taken over by the government.

Social security

- Start of audits of CNRT and CNPS.

Civil service

- Start of internal discussion on civil service reform, particularly holding of an orientation seminar.

Privatization

- Finding a strategic partner for the largest commercial bank (BTCD) and searching for partners for another bank (BDT) before the end of 1997.

Program monitoring

- Elaboration of a monthly budget report to allow the monitoring of performance criteria on a monthly basis.
- Adoption of new national accounts in early 1998.

7. On the fiscal side, performance in 1997 improved markedly over 1996, but fell short of target (Table 3). The current fiscal deficit was reduced to 0.7 percent of GDP from 2.1 percent in 1996, with revenue growing by 15 percent to 7.3 percent of GDP. Current expenditure was reduced by some 3 percent, bringing it to 8 percent of GDP for the year. However, the targeted current fiscal deficit of 0.2 percent of GDP could not be attained, because of a revenue shortfall of some 0.6 percent of GDP, linked mainly to weaknesses in customs and petroleum taxation. One-fourth of the revenue shortfall was offset by lower expenditures. Moreover, for the first time since 1995, the sectoral allocation of current expenditure was in line with the budget: the wage bill and spending on the military were on target, budgetary allocations to education, health, and social affairs were fully utilized, and no off-budget expenditure was executed except in the first quarter, and that was regularized by year-end. Also, in 1997, for the first time, the government fully honored its obligations vis-à-vis the civil service pension fund (CNRT), thus allowing the latter to pay four quarterly installments to pensioners—three in 1997 and one early in 1998. With investment expenditure of 9 percent of GDP and a net reduction of 1 percent of GDP in domestic and external interest arrears, the overall deficit—on a cash basis, excluding grants—reached 11 percent of GDP.⁷ Total external financing amounted to the equivalent of US\$196 million (including debt relief but excluding use of Fund resources), 70 percent in the form of project aid and the remainder as exceptional financing. This external assistance covered the overall cash deficit, as well as some US\$15 million of external debt obligations. The residual was used to strengthen the treasury's net position with the banking system in anticipation of a slowdown in donor aid in the first half of 1998 resulting from the postponement of the third annual ESAF arrangement.

8. Chad's balance of payments deteriorated in 1997, as the current account deficit, excluding official transfers, increased by 1 percentage point to some 20 percent of GDP (Table 4). Exports increased by 23 percent in volume terms, mainly on account of the strong growth of cotton exports, while the increase in import volumes was close to 16 percent, primarily in intermediate goods for cotton and sugar production. The favorable evolution in trade volumes was more than offset by a deterioration in the terms of trade of some 4 percent, that caused the trade deficit to widen by 0.3 percentage point to some 6 percent of GDP. The deficit on services increased by 1 percentage point to 12 percent of GDP in connection with the increase in imports. Growth in foreign-financed investment was supported by an increase in concessional loans and grants, while exceptional financing was less than in 1996. Official reserves are estimated to have declined by some CFAF 16 billion (3.7 percent of imports of goods and services).

9. Monetary developments in 1997 were characterized by a decline of CFAF 1.5 billion in net domestic credit of the banking system, as the increase in credit to the private sector of CFAF 2.6 billion, primarily related to the cotton campaign, was more than offset by the reduction in net claims on the government (Table 5). Broad money is estimated to have declined by some 9 percent; however, demand deposits increased more than 25 percent. The

⁷Some external arrears accrued late in the year, as Chad attempted to negotiate a rescheduling of certain debts. The arrears were cleared early in 1998.

evolution of broad money and net foreign assets should be interpreted with extreme caution, because of the large stock of unsorted notes of the regional central bank (BEAC) held by the national agency of the BEAC.⁸ The discount rate, set at a regional level, declined from 7.75 percent at end-1996 to 7.5 percent in June 1997 and remained constant thereafter.

10. Structural reform regained momentum late in the second half of 1997. The government's privatization program continued with the sale of the rural hydraulic agency (ONHPV), the opening up to the private sector of the capital of the Banque Meridien BIAO Tchad (BMBT/BIAT), the completion of the preparations for the privatization of the Hotel du Chari, and the government's decision to privatize the sugar company (SONASUT).⁹ The government also started work on the revision of the codes governing the electricity, water, and telecommunications sectors in light of its intentions to put the electricity and water company (STEE) under private management and to privatize telecommunications.

III. MEDIUM-TERM OBJECTIVES

11. Against the backdrop of the encouraging performance of the last two years, discussions on the medium term economic program focused on the policies required to strengthen macroeconomic adjustment, with a view to reducing financial imbalances and achieving sustainable growth. The basic objectives of the authorities' reform strategy for 1998-2000 are: (a) to maintain economic growth at an average of 6 percent a year, implying a per capita growth of roughly 3.5 percent a year; (b) to bring yearly inflation under 3 percent; (c) to strengthen the public finances and reduce the country's dependency on foreign assistance; (d) to help alleviate poverty and better protect vulnerable groups; and (e) to strengthen the social and physical infrastructure and promote human resources development. The policies designed to achieve these objectives and their implementation timetable are presented in the PFP.

12. The pickup in economic activity since the launching of the program in mid-1995 is expected to be sustained during the period 1998-2000, spurred by continued growth in cotton production, expansion of the cotton-based manufacturing sector, and an acceleration of growth in construction and public works connected with the large investments expected in the

⁸Banknotes from the BEAC zone that are removed from circulation accumulate in the vaults of each national agency of the BEAC. Those originally issued in the country in question constitute a withdrawal of currency from the money supply, while those from other countries in the zone represent foreign assets. With the 1994 devaluation, large stocks of banknotes accumulated at the national agencies. With intermittent attempts to diminish stocks, the time series on broad money and net foreign assets are not reliable.

⁹The privatization of the Banque Tchadienne de Commerce et de Dépôts (BTCD), was completed at the end of the year 1997. However, the regional banking supervisory authority (COBAC) disallowed the sale in February 1998 when it found that a large shareholder of the purchaser had owned a bank in Chad that had defaulted.

petroleum sector. Consistent with this growth objective, investment is expected to rise from 16.8 percent of GDP in 1997 to 22.2 percent of GDP in 2000 (Table 1). Public investment will climb from 9.1 percent to 10.6 percent of GDP and will be directed principally at reinforcing education, health, and transportation infrastructure. Private sector investment is projected to increase from 7.6 percent of GDP in 1997 to 11.6 percent in 2000 (Box 3). To finance this investment, a marked rise in gross domestic savings—which should be achieved mainly through public savings based on increased revenue collection and rationalization of public expenditure—will be needed. Private savings are expected to benefit from the improved profitability and competitiveness that will follow the restructuring of the parastatal sector, the improvement in the external terms of trade, and the repayment of domestic arrears.

Box 3. Savings and Investment			
Change in percentage points of GDP, 1997-2000			
	Domestic Savings	National Savings	Investment
Government	2.5	2.9	1.4
Private	2.1	2.1	4.0
Total	4.6	5.0	5.4

13. Further improvements in government revenue and a prudent expenditure policy remain key elements of the medium-term policy framework. The revenue-to-GDP ratio is projected to rise from 7.3 percent in 1997 to 9.8 percent of GDP by 2000; total spending is expected to increase from 17.2 percent to some 18.5 percent of GDP during the same period, while the share of current spending will be substantially reduced. It is expected that the external current account deficit (excluding official transfers) will decline to 17 percent of GDP in 1998 before widening to slightly above 19 percent of GDP in 1999-2000, reflecting an increase in imports in connection with the investment in the oil sector.

IV. THE 1998-99 PROGRAM

14. Consistent with the medium-term strategy, the third annual ESAF program envisages real GDP growth of 6 percent in 1998 and inflation of 3.5 percent (Tables 1 and 2). Output in the agricultural sector is projected to increase by more than 4 percent in real terms, owing mainly to an increase of 10 percent in cotton output and sustained growth in foodstuff production. Activity in the industrial sector is expected to expand by some 14 percent, boosted by cotton seed processing, while value added in the nongovernment services sector is projected to increase by 4.4 percent. Fixed investment in 1998 is expected to reach

18.5 percent of GDP, up almost 2 percentage points of GDP, on the strength of a steady recovery of activity in construction and public works connected with the acceleration of public project execution and the beginning of construction of the pipeline to transport Chadian oil exports through Cameroon. Strong growth cotton exports and an anticipated improvement in the terms of trade should help reduce the external current account deficit by about 3 percentage points to 17 percent of GDP in 1998 (Table 4). Total external financing is estimated at CFAF 137 billion; of this, CFAF 49 billion is nonproject aid, including Fund disbursements and debt relief on external obligations.¹⁰

15. Strengthening the public finances remains at the core of the adjustment program in 1998. The current budget surplus is targetted at 0.7 percent of GDP with continued restructuring of expenditure in favor of education, health, and road construction (Table 3). With public investment expenditure of 9.4 percent of GDP, the overall fiscal deficit on a commitment basis is projected at 8.6 percent of GDP, and a projected reimbursement of CFAF 25.6 billion of domestic arrears would bring the overall deficit, on a cash basis, to 11.2 percent of GDP.

16. As regards structural reform, the third year of the ESAF-supported program will focus on restructuring the parastatal sector, accelerating the privatization program currently in progress, involving three medium-size enterprises and two banks, implementing concrete reform actions in the civil service, and restructuring the social welfare system.

A. Financial Policies

17. In 1998, total revenue is projected to grow by 36 percent to 9 percent of GDP.^{11 12} To meet this target, the government will continue to concentrate on improving the efficiency of revenue collection, including centralizing it and simplifying small-taxpayer taxation

¹⁰Chad has requested an extension of the consolidation period under the 1996 Paris Club agreement to cover the ESAF program year.

¹¹ The revenue target of some CFAF 93 billion includes CFAF 7.1 billion of earmarked taxes not previously budgeted or recorded in the government financial operations table. As of January 1998, these taxes are collected by the treasury and transferred to the respective recipients. Excluding these earmarked taxes, the increase over 1997 is 25.5 percent.

¹²The budget for 1998, approved by parliament in December 1997, projects revenues of some CFAF 94 billion. However, during the discussions, the budget estimate of CFAF 5 billion for petroleum taxes, which was too optimistic, was reduced by CFAF 1 billion. This shortfall in revenue will be compensated by a reduction in nonpriority expenditure, to keep the overall fiscal target unchanged.

(Appendix I, Attachment, paragraph 14).¹³ While substantial progress has already been made in improving tax administration, in particular with the establishment of the large-taxpayer unit within the tax directorate late in 1996, systemic weaknesses persist at customs, keeping the agency's revenue performance well below potential.¹⁴ In this context, the authorities have decided to tighten control on exemptions, in particular by implementing a system to budgetize exemptions on government contracts. They will also reduce the list of goods exempted from the turnover tax (TCA) to those of primary necessity, such as basic medicines and staple foods.¹⁵ They have also decided to rehabilitate and strengthen the customs directorate, including enhancing the authority of its top management, streamlining the agency's organization, and reinforcing its control activities in the field (Appendix I, Attachment, paragraph 15). The objective of bringing customs performance up to standard requires not only a rapid modernization and simplification of procedures but, most important, their computerization and an intensification of the training of the personnel. To that effect, a comprehensive diagnosis of the customs operations was undertaken jointly by experts from the Fund and the United Nations Development Program (UNDP). The overall assessment of the technical assistance needs in the customs area includes posting an FAD expert in Chad for six months to help the authorities update and computerize the customs values database, with a view to improving tax assessment; simplifying and computerizing the process of merchandise declarations; and strengthening control on import exemptions and bonded warehouses.¹⁶ Given the importance of improving customs, a customs revenue floor was established as a performance criterion for the program; customs revenue is programmed to reach 2.7 percent of GDP in 1998, up from 2.2 percent in 1997, or a nominal increase of 33 percent.

¹³To that effect, the government has requested the Fund's technical support in the form of long-term technical assistance to the Ministry of Finance, including an economic advisor to the Minister and experts to be attached to each of the customs, tax, and budget directorates.

¹⁴According to staff estimates, the effective turnover tax (TCA) rate on non-tax-exempt imports in 1997 was below 10 percent, compared with a nominal TCA rate of 15 percent.

¹⁵The authorities have also begun discussions with foreign military partners to end all exemptions on their imports.

¹⁶At the initiative of the Minister of Finance, bonded warehouses were abolished by the 1998 budget law, thus obliging all importers to clear customs and pay import taxes prior to the entry of merchandise into the country. The staff team expressed its deep concern about this decision, stressing that it could seriously hamper import supply and, given the landlocked situation of the country, generate serious social and economic difficulties. The authorities were eventually convinced that the appropriate response to the abuses in the functioning of these warehouses lies in the tightening of control over their operations rather than their abolition. They indicated that, pending their restoration, which could be done only through a supplementary budget law, the time limit for paying taxes and duties on certain key imports would be 45 days compared to 3 months previously.

18. On the expenditure side, the 1998-99 program calls for continued restraint in wage spending and an increase in resources for operating expenditures and for investment (Appendix I, Attachment, paragraph 16).¹⁷ Although a wage freeze will be maintained, the program provides for an increase in the wage bill not to exceed CFAF 1 billion in 1998. This increase reflects the restoration of management indemnities, which were cut by 50 percent in 1997, as well as additional costs resulting from recruitment in the health and education ministries. Appropriations for materials and supplies for the priority sectors of education, health, social services, and public works have been increased by 48 percent. Donors supporting these expenditures are working closely with the government to ensure that spending in these sectors is spread more evenly throughout the year.¹⁸ Spending in other ministries, which was cut by some 31 percent in 1997, is programmed to rise by some 15 percent to allow ministries sufficient means to purchase needed supplies and repair badly deteriorating infrastructure. As for investment, foreign-financed projects are programmed at 8.5 percent of GDP, slightly less than in 1997, whereas the budgetary contribution to investment has been raised from 0.4 percent of GDP in 1997 to 0.9 percent in 1998.

19. Since 1996, the government has made substantial progress in stabilizing the size of the civil service and improving the control of the wage bill, including the establishment of a single computerized employee file and the removal from the payroll of some 1,500 inefficient or ghost employees. However, the authorities are aware that the current wage policy based on an across-the-board wage, promotion, and hiring freeze cannot be maintained indefinitely. Thus, in the last quarter of 1997, they launched an internal process of consultation aimed at building a consensus for a comprehensive reform program of the civil service. To enhance ownership, these consultations included representatives of all the ministries, local governments, public agencies, and public sector unions. The aim is to revise the civil service's institutional and regulatory framework to provide the basis for streamlining the civil service and upgrading its efficiency, to improve the specification of recruitment requirements, and to establish merit-based wage and advancement policies. The first set of recommendations will be made available by end-June 1998, so that the government can adopt changes by September and begin to implement reforms in 1999.

20. The program also calls for a reform of the social welfare system to ensure its medium- and long-term financial viability. This reform, which will be implemented with assistance from the International Labor Office and the World Bank, is expected to be launched in early 1999 after completion and study of the recommendations of the audits of the two social security agencies (Appendix I, Attachment, paragraph 20).

¹⁷To ensure that no expenditure is effected outside normal budgetary channels (*dépenses payées avant ordonnancement*), an exceptional procedure intended to cover unforeseen emergency expenditure was put in place with the 1998 budget.

¹⁸ Spending in priority sectors is inscribed in the program as an indicator variable.

21. The regional monetary authorities intend to maintain a prudent policy stance, with the objective of keeping demand pressures in check while consolidating foreign exchange reserves at the regional level. Chad will contribute to this effort by continuing to strengthen domestic fiscal policy. Broad money is projected to grow by 9.7 percent in 1998, in line with nominal GDP (Table 5). A further decline in net credit to government will provide adequate room for expansion of credit to the private sector of some 25 percent, while the expansion of net domestic assets will be contained below the targeted growth rate of broad money. As a result, Chad's contribution to increasing the net foreign position of the BEAC is projected to be about CFAF 5 billion, or slightly more than 4 percent of beginning-of-period money stock.

22. The authorities are taking actions to strengthen the banking system and increase banking competition, notably through the privatization of the two remaining state-owned banks. The authorities reiterated their commitment to continue to support the recommendations of the COBAC regarding restoration of commercial bank efficiency and profitability. In light of the failure of the two previous requests for bids for the privatization of the Banque Tchadienne de Commerce et de Dépôt (BTCD), the largest commercial bank in Chad, the authorities have decided to take a more careful approach in close collaboration with the COBAC. While the new request for bids is expected to be launched before end-September 1998, two potential partners of international repute have already expressed their interest in the bank. Preparations for privatization of the Banque de Développement du Tchad (BDT) have already begun; the COBAC has started to sort out the BDT's complex ownership structure, which includes, inter alia, the BTCD. The government has reiterated its determination to expedite the privatization of the BDT, although the uncertainties surrounding the completion of preparatory work have made it difficult to set a target date for launching the request for bids.

23. The adoption of the new set of national accounts, including the methodology for the rapid compilation of preliminary accounts, represents a substantial improvement in the statistical coverage of economic activity in Chad. For 1998, the program calls for the strengthening of the statistical apparatus through the adoption of a statistical law; a better coordination between the statistics directorate and statistics units in other ministries and the central bank; and an improvement in the quality of balance of payments data at the central bank and customs.

B. Structural Policies

24. The reform of the parastatal sector constitutes the structural core of the third annual ESAF program and will involve the restructuring of the sectors of cotton, sugar, electricity and water, and telecommunications. This restructuring will enhance efficiency and should ultimately result in an improvement in government revenues and in the overall economic situation in the medium term. In the **cotton sector**, the government, in close consultation with the World Bank, will, during 1998, prepare for the privatization of the oil- and soap-manufacturing unit of the cotton company, COTONTCHAD, and elaborate a reform plan

centered on abolishing the monopolies held by COTONTCHAD.¹⁹ The adoption by the government of the reform plan is expected before end-December 1998. Preparations for the privatization of the oil and soap unit are expected to be completed by end-1998, with divestiture coming in the course of 1999. In the **sugar sector**, the key reform action is the privatization of the SONASUT, bids for which are scheduled to be solicited before end-September. In addition, the government will incorporate in the solicitation for privatization bids a timetable for decreasing the import reference price, indicating a predetermined point at which it would be removed.²⁰ The exact mechanism will be determined in consultation with the staffs of the World Bank and the Fund. **In the electricity sector**, all the modalities for disengaging the state from the management of STEE, including the adoption by the government of the new draft electricity code, are expected to be determined before end-July 1998; bids will be solicited before end-September. In addition, progress was made in identifying the sectoral investment requirements, including the extension and modernization of the electricity network, and providing for increased access to drinking water. The reform actions in the **telecommunications sector** will include the adoption of a new telecommunications code, the separation of the public postal agency from the telecommunications activity, and the privatization of the latter. Bids for granting a license to an independent cellular phone company will be solicited before end-June 1998. All these reforms will be supplemented by the divestiture of the airline, the road maintenance firm, and a slaughterhouse, so by 2000 almost all public enterprises will be privatized or liquidated.

C. External Policies and the Medium-Term Outlook

25. As indicated above, the external current account deficit, excluding official grants, is expected to be about 17 percent of GDP in 1998. Exports volumes are projected to increase by some 30 percent, reflecting mainly the rise in cotton exports. Given an expected 10 percent rise in the average export price, exports shipments in f.o.b.-value terms should increase to some 17 percent of GDP. Import volume growth is projected at 11 percent owing to a recovery of investment. With a very modest increase in average import prices, import values, including insurance and freight, will equal some 28 percent of GDP. The capital and financial account of the balance of payments is projected to register a net surplus of CFAF 140 billion, equivalent to 15 percent of GDP, two-thirds of which will be for project financing.

26. Chad's exceptional financing requirements for 1998 are estimated at some CFAF 49 billion (5 percent of GDP), including debt relief, of which only CFAF 3.5 billion has been already disbursed. Of the remaining gap, CFAF 3.9 billion is expected to be covered by

¹⁹The World Bank has advised the Chadian government to defer all reform actions in this sector, pending completion by its staff of a strategy for a comprehensive and efficient reform of the sector throughout Africa.

²⁰The schedule for removal of the reference price will be finalized in the context of the midterm review.

additional debt relief.²¹ Multilateral creditors are expected to provide CFAF 37.6 billion, comprising CFAF 11.9 billion from the World Bank under the third structural adjustment credit (SAC III), CFAF 6.4 billion from the African Development Bank as the second tranche of its structural adjustment loan, CFAF 6 billion from the European Union, and CFAF 13.3 billion from the Fund under the proposed third-year ESAF arrangement. The remaining CFAF 8 billion will be covered by existing commitments from bilateral creditors.

27. Chad's medium-term balance of payments outlook will be affected by the developments in the oil sector, as all the gains in terms of increased export volumes are expected to be more than offset by the sharp rise in imports connected with the investment related to the exploitation of the country's oil reserves. In 1999-2000, exports of goods and services are projected to increase by 12 percent per year, or some 3 percentage points less than imports, which would keep the current account deficit, excluding transfers, slightly above 19 percent of GDP. During the same period, overall financing requirements will average CFAF 112 billion per year and are expected to be mostly covered by official transfers and concessional loans. The financing gap is estimated at CFAF 30 billion for 1999 and CFAF 14 billion for 2000.²²

28. Sometime this summer the Executive Board of the World Bank is scheduled to consider loans of \$50 million to Chad and \$80 million to Cameroon, to finance their respective parts in the construction of the pipeline for Chad's oil exports.²³ This construction is slated to begin this year; oil wells will be being dug in 2000, and exports will begin late in 2001. Given the oil project's potential for improving Chad's development prospects and the expected substantial revenues for the country,²⁴ the World Bank is also assisting the Chadian government in its effort to develop a revenue management plan to ensure that the earnings from oil are directed to economic growth and poverty reduction.

²¹This amount includes CFAF 2.6 billion of debt owed to Russia and CFAF 1.3 billion of obligations falling due after the expiration of the current Paris Club debt-rescheduling agreement at end-August 1998. In line with understandings between Russia and the Paris Club, the debt relief expected from Russia would include an up-front discount of 70 percent and the application of debt relief granted by other Paris Club creditors.

²²A detailed debt sustainability analysis (DSA) is contained in EBS/96/70, with an update in EBS/96/160. *Conditional on the establishment of a strong track record of adjustment and good relations with creditors*, Chad could reach the decision point under the Initiative for Heavily Indebted Poor Countries (HIPC) at the end of the third annual ESAF arrangement. Based on the latest DSA, Chad's debt burden appears to be sustainable.

²³The total investment in the oil project is over US\$3 billion, of which only US\$130 million will be public funds, the rest being financed by a consortium of oil companies.

²⁴The analysis of the oil project and an assessment of its financial impact on the Chadian economy are presented in SM/96/111, EBS/96/70, EBS/96/160, and EBS/97/91.

V. PROGRAM MONITORING

29. The performance criteria and benchmarks of the program are listed in Table 1 of the memorandum of economic and financial policies attached to Appendix I. Progress under the program will be assessed in the context of the midterm review, to be completed not later than December 31, 1998.

VI. STAFF APPRAISAL

30. Chad has made considerable progress since 1995 in advancing its economic reform program. Problems in program implementation began to emerge in the second half of 1996, but the authorities took strong corrective actions early in 1997 to bring the program back on track. However, the follow-up to these measures was weak, and it was clear by August 1997 that the program again needed strengthening before a third-year ESAF arrangement could be approved. The authorities effectively used the last several months of 1997 to consolidate the public finances and to establish a technical and institutional base for advancing structural reform, and they are now in a better position to move the program forward.

31. The good economic performance in 1997, although partly the result of an exceptionally good crop year, indicates that government policies to encourage broad-based growth are paying off. Strong growth with low inflation can be anticipated over the medium term if there is a resolute promotion of an environment that allows the private sector to prosper, including completion of the privatization program.

32. In 1997, considerable strides were made in strengthening public finances: revenue grew substantially, current expenditure was restrained, and the current fiscal deficit was less than 1 percent of GDP. For the first time in the ESAF program, the ceilings for the wage bill and military were observed, while budgetary allocations to the priority sectors of health, education, and social affairs were fully utilized. The major risk to continuing fiscal consolidation is low revenue mobilization, particularly in light of the need for continuing increases in spending on priority sectors and for financing the government's investment program. The 1998 revenue targets are ambitious but well within the authorities' reach and constitute an essential step toward fiscal sustainability. Tax rates in Chad are high, thus the emphasis will have to be on tax collection. Efforts to expand the tax base through a unified tax on small enterprises and regularization of collections from large enterprises are welcome. The reform of customs, particularly the control of exemptions, is essential to the success of the 1998 program and to the long-term sustainability of the government fiscal program.

33. The authorities are aware that the current policies to control the wage bill by freezing wages, promotions, and hiring are neither appropriate nor sustainable over the medium term. Thus, the effort to reform the civil service needs to be advanced. The process of internal consultation begun late in 1997 is a good start, but concrete recommendations for short-term actions in the framework of a longer-term strategy should be developed quickly. The current

schedule envisages that these recommendations will be ready for government consideration by end-June 1998. It would be important to develop a workable action plan that could be put into effect with the 1999 budget.

34. The importance of the efforts to reform the social security agencies should be underscored. This effort began with the government's fully honoring its financial obligations to these agencies for the first time in 1997 and with the government retirement agencies' making three quarterly payments to retirees in the calendar year, with the fourth installment being paid early in 1998. Once the financial audits of the two agencies are completed and their financial situation is known, an action plan to establish a sound financial base should be put in place expeditiously, so as to ensure a working social safety net, particularly for retired workers.

35. This program year will mark an important turning point for the privatization program in Chad. With the completion of the privatization of small enterprises, including the remaining state-owned banks, the government will turn its efforts to privatization in three of the largest and most strategically important sectors—electricity and water, telecommunications, and sugar. Concrete actions in these sectors, following two years of preparatory work, will provide a much stronger commercial infrastructure for economic growth. Although reform of the cotton sector is still in the planning stage, sufficient preparation has been made so that the splitting off and privatization of some nonessential parts of the cotton parastatal (oil and soap manufacturing) can begin in 1999. But full liberalization of the cotton sector will be critical both to sustained growth, by increasing efficiency in a major productive sector, and to increasing equity in the distribution of income. Thus, the staff would strongly urge that the authorities, in consultation with the World Bank, develop a time-limited strategy to effect substantial cotton sector reform. In addition, the staff would urge the authorities to remove the reference price on sugar imports as soon as possible.

36. The management of external debt continues to be good in Chad. Chad met its external obligations in a timely fashion in 1997, except for some small arrears at year's end that resulted from the authorities' attempt to negotiate a rescheduling of some short-term debt. These arrears were cleared early in 1998. Chad has begun discussions with Russia on rescheduling its bilateral debt and has requested an extension of the Paris Club agreement until the end of the program period.

37. The external payments position is expected to improve in 1998 with the continued growth in cotton exports, but imports related to investment in the oil exploitation project will likely result in a deterioration for several years thereafter. Chad's debt burden is not large, and debt-service obligations appear to be sustainable, even with continued concessional borrowing to support public investment. Commitments from donors are sufficient to cover the external financing gap in 1998.

38. The adoption of new national accounts is an important step in reforming the Chadian statistical system. The staff would urge the authorities to move quickly to develop an overall strategy for developing the statistical system, taking into account the scarcity of resources and trained personnel. The adoption of a statistical law will be an important first step in this direction.

39. Overall, the authorities' program will lend renewed impetus to reform. Continued fiscal consolidation will be combined with concrete actions to privatize the large parastatals. The major risk to the program remains with regard to revenue mobilization, and thus the authorities need to show renewed commitment in this area while firmly controlling the level and composition of expenditure. Timely availability of external financial support and technical assistance will also be required. Given the authorities' strong actions in the last quarter of 1997 to bring the program back on track, the good performance through end-March 1998, and the projected capacity to repay the Fund in a timely manner, the staff recommends approval of the request for the third annual arrangement under the ESAF, and the extension of the commitment period of the three-year ESAF arrangement until March 31, 1999.

VII. PROPOSED DECISION

The following draft decision is proposed for adoption by the Executive Board:

1. The government of Chad has requested (i) the third annual arrangement under the Enhanced Structural Adjustment Facility (ESAF), and (ii) the extension of the commitment period of the three-year arrangement under the ESAF.
2. The Fund has appraised the progress of Chad in implementing the policies and reaching the objectives of the program supported by the second annual arrangement, and notes the updated policy framework paper (EBD/98/35).
3. The Fund approves the third annual arrangement set forth in EBS/98/74.
4. The commitment period of the three-year arrangement for Chad under the ESAF (EBS/95/139) is extended to March 31, 1999.

Table 1. Chad: Selected Economic and Financial Indicators, 1994-2000

	1994	1995	1996	1997		1998	1999	2000
				Prog.1/	Est.	Prog.	Projections	
(Annual changes in percent, unless otherwise specified)								
National income								
GDP at current prices	57.9	9.8	16.5	11.0	11.7	9.7	9.1	9.3
GDP at constant prices	10.2	0.9	3.5	6.3	6.5	6.0	6.0	6.1
Implicit GDP deflator	43.3	8.9	12.6	4.4	4.9	3.5	3.0	3.0
Consumer price index (average)	41.3	9.5	11.3	7.1	5.6	3.5	3.3	3.0
Consumer price index (December to December)	49.4	10.0	10.5	5.1	0.6	3.5	3.3	3.0
Central government finance								
Revenue	9.7	40.3	32.8	24.7	14.8	35.9	15.8	11.8
Total expenditure	48.9	4.4	16.5	3.7	5.8	13.1	15.1	8.4
Of which : current expenditure	26.2	-1.3	19.3	-3.1	-2.7	13.5	6.4	6.8
Money and credit 1/								
Net foreign assets 2/	66.8	40.5	2.2	4.3	-4.8	4.3	...	...
Net domestic assets 2/	0.2	-5.3	17.9	9.9	-4.5	5.4	...	...
Domestic credit	14.8	-11.0	20.5	9.9	-1.1	5.4	...	...
Of which : net claims on central government 3/	8.1	-16.2	9.2	7.4	-3.2	-6.4	...	...
credit to nongovernment sector 2/	6.7	5.3	11.3	2.5	2.0	11.8	...	...
Broad money 4/	66.3	36.0	20.2	14.3	-9.3	9.7	...	...
Velocity (GDP relative to average M2) 5/	7.3	7.7	7.1	4.8	7.6	7.6	...	...
External sector (valued in CFA francs)								
Exports, f.o.b.	75.0	64.3	-17.1	22.4	22.6	40.0	11.2	14.2
Imports, f.o.b.	93.2	25.7	1.2	10.4	20.9	12.4	19.9	13.2
Export volumes	-20.7	35.1	-14.7	12.4	22.6	29.7	8.9	12.1
Import volumes	-18.8	56.9	1.0	5.6	15.9	11.4	18.9	11.1
Terms of trade	10.4	22.0	-3.0	4.2	-4.2	6.9	1.3	0.0
Real effective exchange rate(- depreciation)	-32.7	7.2	6.8	...	...	...	...	...
(In percent of GDP, unless otherwise specified)								
Basic ratios								
Gross fixed investment	15.2	16.2	15.9	...	16.8	18.5	21.7	22.2
Central government investment	9.0	9.1	8.9	...	9.1	9.4	10.5	10.6
Private sector investment	6.1	7.1	7.0	...	7.6	9.1	11.1	11.6
Gross domestic savings	1.3	1.3	0.2	...	0.2	3.5	4.2	4.8
Central government	-5.7	-2.3	-1.4	...	0.3	1.8	2.5	2.8
Private sector	7.0	3.6	1.6	...	-0.1	1.8	1.8	2.0
Gross national savings 6/	7.3	4.1	2.4	...	0.7	4.4	6.7	5.8
Central government	0.2	1.4	1.2	...	1.1	2.9	5.2	3.9
Private sector	7.2	2.7	1.3	...	-0.3	1.5	1.5	1.8
Central government finance 1/								
Revenue	4.9	6.2	7.1	8.0	7.3	9.0	9.6	9.8
Total expenditure	19.1	18.1	18.1	17.1	17.2	17.7	18.6	18.5
Current balance (-deficit) 7/	-5.1	-2.8	-2.1	-0.2	-0.7	0.7	1.5	1.9
Current primary balance (-deficit) 7/	-3.7	-1.7	-0.6	1.2	0.8	1.7	2.3	2.5
Overall fiscal deficit (commitment basis) 7/	-14.2	-11.9	-11.0	-9.1	-9.9	-8.6	-9.0	-8.7
Overall fiscal deficit (cash basis) 7/	-13.3	-11.0	-14.5	-10.6	-11.0	-11.2	-10.8	-8.7
Domestic financing	-0.1	-1.0	1.4	-0.2	-0.4	-0.8	0.1	-0.3
External financing (already obtained)	13.4	11.9	13.1	10.8	11.3	10.3	8.0	7.8
Financing gap (-)	0.0	0.0	0.0	0.0	0.0	-1.7	-2.7	-1.1
External sector								
Current account (- deficit)								
Including official transfers 6/	-12.7	-13.0	-14.8	-9.1	-17.6	-14.1	-15.0	-16.4
Excluding official transfers	-20.9	-18.9	-19.2	-11.3	-20.2	-17.0	-19.3	-19.1
External debt outstanding 8/	60.1	54.2	50.2	49.8	49.5	48.7	46.7	47.3
Debt-service ratio 9/								
Including the Fund	12.7	9.6	12.3	10.7	12.9	11.7	9.6	7.2
Excluding the Fund	11.0	7.4	9.3	7.0	8.3	8.3	8.2	6.9
Total grants	14.9	11.3	8.6	7.3	7.9	6.7	5.7	5.6
Current grants	8.2	5.9	4.5	2.3	2.6	2.9	1.6	1.5
Capital grants	6.8	5.5	4.1	5.0	5.3	3.8	4.0	4.0
(In millions of U.S. dollars, unless otherwise specified)								
Contribution to the official external reserves of the BEAC	111.4	183.9	188.2	208.8	147.2	152.7	168.6	180.8
Nominal GDP	1,179.2	1,440.8	1,637.7	1,625.9	1,607.2	1,726.9	1,894.0	2,081.6
Nominal GDP (in billions of CFA francs)	654.7	719.1	837.8	930.0	936.0	1,026.7	1,120.5	1,224.6
CFA franc per U.S. dollar (period average)	555.2	499.1	511.6	572.0	582.4	594.5	591.6	588.3
CFA franc per U.S. dollar (end of period)	534.6	490.0	523.7	572.0	582.4	594.5	591.6	588.3
Population (midyear, in millions)	6.2	6.4	6.5	6.7	6.7	6.8	7.0	7.2

Sources: Chadian authorities; and staff estimates and projections.

1/ All the ratios to GDP in the 1997 program column are based on the new GDP estimates.

2/ Changes as percent of broad money stock at beginning of period

3/ Defined as the treasury.

4/ For 1994 onward, including correction for currency notes not yet sorted at the BEAC national agency.

5/ Ratio of GDP to average broad money.

6/ For 1997-99, assuming the financing gap is fully financed

7/ Excluding grants.

8/ Including arrears, and the Fund

9/ Scheduled debt service in percent of exports of goods and nonfactor services.

Table 2. Chad: Supply and Use of Resources at Current Prices, 1994-2000

	1994	1995	1996	1997	1998 Prog.	1999 Projections	2000 Projections
(In billions of CFA francs)							
Gross domestic product	654.7	719.1	837.8	936.0	1026.7	1120.5	1224.6
Domestic demand	777.7	832.8	980.3	1105.9	1180.1	1316.2	1437.6
Consumption	646.2	709.5	836.2	934.0	990.5	1073.3	1166.0
Central government	71.7	64.9	75.0	67.7	70.0	75.6	81.8
Private sector	574.5	644.6	761.2	866.3	920.5	997.7	1084.2
Gross investment	131.5	123.4	144.1	171.9	189.6	242.9	271.6
Central government	59.2	65.6	74.6	85.4	96.3	118.2	129.5
Private sector	40.3	50.8	58.5	71.5	93.3	124.7	142.2
Change in stocks	32.0	7.0	11.0	15.0	0.0	0.0	0.0
Resource gap	-123.0	-113.7	-142.5	-169.9	-153.5	-195.7	-213.0
Exports of goods and nonfactor services	105.5	154.2	133.9	157.9	211.0	233.7	264.8
Goods	75.1	123.3	102.3	125.4	175.5	195.2	222.9
Nonfactor services	30.4	30.9	31.6	32.5	35.5	38.5	41.9
Imports of goods and nonfactor services	-228.5	-268.0	-276.4	-327.8	-364.5	-429.4	-477.7
Goods	-117.7	-147.9	-149.8	-181.1	-203.7	-244.1	-276.3
Nonfactor services	-110.7	-120.0	-126.6	-146.7	-160.8	-185.3	-201.4
Gross domestic savings	8.5	9.6	1.6	2.0	36.1	47.2	58.7
Central government	-37.2	-16.4	-11.4	2.5	18.1	27.6	34.1
Private sector	45.7	26.0	13.0	-0.5	18.0	19.6	24.5
Private unrequited transfers	1.2	-6.6	-2.3	-2.6	-2.9	-2.6	-2.3
Current public transfers	53.6	42.4	37.4	24.0	29.9	48.8	32.9
Net factor income from abroad	-15.2	-15.9	-16.3	-16.5	-17.8	-18.3	-18.7
Gross national savings	48.1	29.6	20.4	6.9	45.3	75.0	70.6
Central government	1.2	10.1	9.7	10.0	30.2	58.0	48.4
Private sector	46.9	19.5	10.7	-3.1	15.1	17.0	22.2
Saving-investment balance	-83.4	-93.8	-123.7	-165.0	-144.3	-167.9	-201.1
Central government	-58.0	-55.5	-64.9	-75.4	-66.1	-60.2	-81.1
Private sector	-25.3	-38.3	-58.8	-89.6	-78.1	-107.7	-120.0
Gross national income	639.5	703.2	821.5	919.5	1008.8	1102.2	1205.9
National disposable income	694.3	739.0	856.6	940.9	1035.9	1148.3	1236.5
(In percent of GDP)							
Gross domestic product	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Domestic demand	118.8	115.8	117.0	118.2	114.9	117.5	117.4
Consumption	98.7	98.7	99.8	99.8	96.5	95.8	95.2
Central government	10.9	9.0	9.0	7.2	6.8	6.7	6.7
Private sector	87.8	89.6	90.9	92.6	89.7	89.0	88.5
Gross investment	20.1	17.2	17.2	18.4	18.5	21.7	22.2
Central government	9.0	9.1	8.9	9.1	9.4	10.5	10.6
Private sector	6.1	7.1	7.0	7.6	9.1	11.1	11.6
Change in stocks	4.9	1.0	1.3	1.6	0.0	0.0	0.0
Resource gap	-18.8	-15.8	-17.0	-18.2	-14.9	-17.5	-17.4
Exports of goods and nonfactor services	16.1	21.4	16.0	16.9	20.6	20.9	21.6
Goods	11.5	17.2	12.2	13.4	17.1	17.4	18.2
Nonfactor services	4.6	4.3	3.8	3.5	3.5	3.4	3.4
Imports of goods and nonfactor services	-34.9	-37.3	-33.0	-35.0	-35.5	-38.3	-39.0
Goods	-18.0	-20.6	-17.9	-19.4	-19.8	-21.8	-22.6
Nonfactor services	-16.9	-16.7	-15.1	-15.7	-15.7	-16.5	-16.4
Gross domestic savings	1.3	1.3	0.2	0.2	3.5	4.2	4.8
Central Government	-5.7	-2.3	-1.4	0.3	1.8	2.5	2.8
Private sector	7.0	3.6	1.6	-0.1	1.8	1.8	2.0
Private unrequited transfers	0.2	-0.9	-0.3	-0.3	-0.3	-0.2	-0.2
Current public transfers	8.2	5.9	4.5	2.6	2.9	4.4	2.7
Net factor income from abroad	-2.3	-2.2	-1.9	-1.8	-1.7	-1.6	-1.5
Gross national savings	7.3	4.1	2.4	0.7	4.4	6.7	5.8
Central government	0.2	1.4	1.2	1.1	2.9	5.2	3.9
Private sector	7.2	2.7	1.3	-0.3	1.5	1.5	1.8
Saving-investment balance	-12.7	-13.0	-14.8	-17.6	-14.1	-15.0	-16.4
Central government	-8.9	-7.7	-7.7	-8.1	-6.4	-5.4	-6.6
Private sector	-3.9	-5.3	-7.0	-9.6	-7.6	-9.6	-9.8
Gross national income	97.7	97.8	98.1	98.2	98.3	98.4	98.5
National disposable income	106.0	102.8	102.2	100.5	100.9	102.5	101.0

Sources: Chadian authorities; and staff estimates and projections.

Table 3. Chad: Consolidated Government Operations, 1994-2000 1/

	1994	1995	1996	1997		1998				1999	2000
				December		March	June	Sept.	Dec.	Projections	
				Prog. rev.	Est.	Program					
(In billions of CFA francs)											
Total revenue and grants	94.0	98.5	110.2	120.8	124.7	25.4	52.9	84.7	132.2	152.5	169.7
Total revenue	32.0	44.8	59.6	74.3	68.4	19.2	42.6	65.7	92.9	107.6	120.2
Tax revenue	30.7	39.7	53.0	66.9	61.3	17.4	38.4	59.0	83.8	97.2	108.4
Income tax	9.2	17.4	22.4	24.6	22.4	6.4	13.1	19.0	25.9	29.7	32.9
Tax on goods and services	9.1	6.6	11.1	17.5	17.0	4.8	10.3	15.5	22.0	26.5	29.9
Of which: petroleum taxes	2.3	2.0	2.9	3.8	3.4	0.9	2.0	2.8	4.0	5.0	5.7
Tax on international trade	6.2	12.2	18.6	23.0	20.7	4.4	11.0	18.6	27.5	32.2	36.1
Other taxes	6.2	3.5	1.0	1.8	1.3	1.8	4.0	5.9	8.4	8.9	9.4
Nontax revenue	1.2	5.1	6.5	7.4	7.1	1.8	4.2	6.7	9.1	10.4	11.8
Total grants	62.0	53.7	50.6	46.5	56.4	6.2	10.3	19.0	39.3	45.0	49.5
Current grants	17.8	14.5	16.2	...	6.6	...	...	...	...	...	...
Project grants	44.2	39.2	34.4	46.5	49.8	6.2	10.3	19.0	39.3	45.0	49.5
Total expenditure	124.8	130.3	151.8	158.8	160.6	42.5	80.2	112.5	181.6	208.9	226.5
Current expenditure	65.6	64.7	77.2	76.2	75.1	19.2	40.4	60.7	85.3	90.8	97.0
Primary current expenditure	56.1	56.9	64.4	63.3	61.3	16.9	35.6	53.6	75.5	82.3	89.5
Wages and salaries	26.0	30.1	30.8	31.0	30.8	8.0	16.0	24.0	32.0	35.0	37.5
Materials and supplies	12.7	11.9	17.1	15.7	14.6	4.0	8.1	11.6	18.3	21.2	25.0
Transfers	5.0	5.0	3.9	6.9	6.1	2.3	6.3	10.2	14.7	15.3	15.9
Defense	12.3	10.0	12.7	9.7	9.7	2.5	5.1	7.7	10.5	10.8	11.1
Salaries	9.0	7.1	10.7	8.6	8.4	2.1	4.2	6.3	8.4	8.6	8.7
Materials and supplies	3.3	2.9	1.9	1.1	1.3	0.4	0.9	1.4	2.1	2.2	2.3
Demobilization and reinsertion	1.3	0.5	0.3	4.7	4.7	0.5	0.9	1.4	1.8	1.0	0.4
Other (including elections)	0.6	0.0	4.1	0.2	0.7	0.0	0.0	0.0	0.0	0.0	0.0
Interest	7.6	7.3	8.4	8.0	8.5	1.9	3.9	5.8	7.9	7.4	7.1
Domestic	1.1	1.0	1.3	1.4	1.5	0.4	0.7	1.1	1.3	1.3	1.3
External	6.5	6.3	7.1	6.6	7.0	1.4	3.3	4.7	6.6	6.1	5.8
Current primary balance (-=deficit)	-24.1	-12.1	-4.8	11.0	7.1	2.3	7.0	12.1	17.4	25.2	30.7
Current balance (-=deficit)	-33.6	-19.8	-17.6	-2.0	-6.8	0.0	2.2	5.0	7.6	16.8	23.2
Investment expenditure	59.2	65.6	74.6	82.5	85.4	23.3	39.8	51.8	96.3	118.2	129.5
Domestically financed	1.2	0.3	0.6	5.0	4.1	1.0	4.4	6.6	8.9	17.0	21.0
Foreign-financed	58.0	65.3	74.0	77.5	81.4	22.3	35.4	45.2	87.5	101.2	108.5
Overall deficit (commitment basis)											
Excluding grants and foreign financed investment	-34.8	-20.2	-18.2	-7.0	-10.8	-1.0	-2.2	-1.7	-1.2	-0.2	2.2
Excluding grants	-92.8	-85.5	-92.2	-84.5	-92.2	-23.3	-37.6	-46.8	-88.7	-101.4	-106.2
Including grants	-30.8	-31.8	-41.6	-38.0	-35.8	-17.0	-27.3	-27.8	-49.4	-56.4	-56.8
Change in payments arrears	5.8	6.4	-28.9	-13.7	-10.5	-4.0	-4.0	-12.5	-25.9	-20.0	0.0
External (interest) 2/	2.3	-3.7	-19.3	-1.1	-0.7	-0.2	-0.3	-0.3	-0.3	0.0	0.0
Domestic	3.5	10.2	-9.6	-12.7	-9.8	-3.8	-3.8	-12.2	-25.6	-20.0	0.0
Overall deficit (cash basis, excluding grants)	-87.0	-79.0	-121.2	-98.2	-102.7	-27.3	-41.7	-59.3	-114.6	-121.4	-106.2
Overall deficit (cash basis, including grants)	-25.0	-25.4	-70.5	-51.7	-46.3	-21.0	-31.4	-40.3	-75.3	-76.4	-56.8
Financing	25.0	25.4	70.5	23.0	46.3	19.0	18.5	10.3	27.8	46.1	42.7
External (net)	25.8	32.2	58.9	24.9	49.7	13.5	18.5	16.3	36.2	44.5	45.9
Loans	25.1	26.1	54.6	31.0	54.5	16.0	25.1	26.1	48.2	56.2	59.0
Project loans	13.8	26.1	39.6	31.0	31.6	16.0	25.1	26.1	48.2	56.2	59.0
Program loans	11.3	0.0	15.0	0.0	23.0	0.0	0.0	0.0	0.0	0.0	0.0
Amortization due	-7.8	-5.8	-6.2	-6.1	-7.2	-2.3	-4.3	-7.5	-9.7	-11.7	-13.1
Change in external arrears (principal) 2/	4.3	-10.3	-19.9	-3.0	-2.0	-1.4	-3.8	-3.8	-3.8	0.0	0.0
Debt relief/rescheduling obtained	4.2	22.2	30.4	2.9	4.5	1.3	1.5	1.5	1.5	0.0	0.0
Domestic (net)	-0.8	-6.8	11.7	-1.9	-3.4	5.5	0.1	-6.0	-8.4	1.6	-3.2
Banking system	1.6	-6.1	11.1	-2.3	-4.6	6.4	1.0	-5.1	-7.5	-5.4	-3.2
Central bank	4.9	-5.9	17.0	-7.0	6.9	-1.9	-4.5	-6.5	-9.3	-5.4	-3.2
Commercial banks	-3.3	-0.1	-5.9	4.7	-11.5	8.3	5.5	1.4	1.8	0.0	0.0
Nonbank sector	-2.4	-0.9	0.2	-0.1	-0.1	0.0	0.0	0.0	0.0	0.0	0.0
Sale of assets	0.0	0.2	0.3	0.5	1.3	-0.9	-0.9	-0.9	-0.9	7.0	0.0
Financing gap	0.0	0.0	0.0	-28.7	0.0	-2.0	-12.8	-30.0	-47.5	-30.3	-14.0
Exceptional financing	0.0	0.0	0.0	28.7	0.0	2.0	3.8	19.6	30.3	0.0	0.0
World Bank	0.0	0.0	0.0	15.1	0.0	0.0	0.0	11.9	11.9	0.0	0.0
European Union	0.0	0.0	0.0	2.4	0.0	0.0	1.8	1.8	6.0	0.0	0.0
African Development Bank	0.0	0.0	0.0	7.9	0.0	0.0	0.0	0.0	6.4	0.0	0.0
Bilateral donors	0.0	0.0	0.0	3.4	0.0	2.0	2.0	6.0	6.0	0.0	0.0
Additional financing requirements	0.0	0.0	0.0	0.0	0.0	0.0	-9.1	-10.3	-17.2	-30.3	-14.0
Possible Fund disbursement	0.0	0.0	0.0	0.0	0.0	0.0	6.6	6.6	13.3	0.0	0.0
Residual financing gap (-)	0.0	0.0	0.0	0.0	0.0	0.0	-2.4	-3.7	-3.9	-30.3	-14.0
Of which: possible debt relief 2/	0.0	0.0	0.0	0.0	0.0	0.0	2.4	3.7	3.9	0.0	0.0
Memorandum items:	(In percent of GDP, unless otherwise specified)										
Total revenue	4.9	6.2	7.1	8.0	7.3	1.9	3.8	5.4	9.0	9.6	9.8
Current primary balance (-=deficit)	-3.7	-1.7	-0.6	1.2	0.8	0.2	0.6	1.0	1.7	2.3	2.5
Current balance (-=deficit)	-5.1	-2.8	-2.1	-0.2	-0.7	0.0	0.2	0.4	0.7	1.5	1.9
Nonmilitary wage bill as a ratio to total revenue	81.2	67.2	51.7	41.7	45.1	41.8	37.6	36.6	34.5	32.5	31.2
Nonmilitary wage bill as a ratio to current expenditure	39.6	46.5	39.9	40.6	41.0	41.7	39.7	39.6	37.6	38.5	38.6

Sources: Chadian authorities; and staff estimates and projections.

1/ Excluding accountings of public contract taxation.

2/ Including projected Russian debt relief starting in 1998.

Table 4. Chad: Balance of Payments, 1994-2000

	1994	1995	1996	1997	1998 Prog	1999 Projections	2000 Projections
(In billions of CFA francs)							
Goods and services	-123.0	-113.7	-142.5	-169.9	-153.5	-195.7	-213.0
Goods	-42.7	-24.6	-47.5	-55.7	-28.1	-48.9	-53.4
Exports f.o.b	75.1	123.3	102.3	125.4	175.5	195.2	222.9
Of which : cotton	24.7	63.7	55.4	75.7	118.9	132.7	154.6
Imports, f.o.b.	-117.7	-147.9	-149.8	-181.1	-203.7	-244.1	-276.3
Services	-80.3	-89.1	-95.0	-114.2	-125.3	-146.8	-159.6
Credit	30.4	30.9	31.6	32.5	35.5	38.5	41.9
Debit	-110.7	-120.0	-126.6	-146.7	-160.8	-185.3	-201.4
Income	-15.2	-15.9	-16.3	-16.5	-17.8	-18.3	-18.7
Of which : public sector interest	-6.2	-6.3	-7.1	-6.6	-7.3	-5.9	-5.6
Current transfers	54.7	35.8	35.1	21.4	27.1	15.8	16.5
General government (net)	53.6	42.4	37.4	24.0	29.9	18.4	18.9
Other sectors (net)	1.2	-6.6	-2.3	-2.6	-2.9	-2.6	-2.3
Current account balance	-83.4	-93.8	-123.7	-165.0	-144.3	-198.2	-215.1
Excluding official transfers	-136.9	-136.2	-161.1	-189.0	-174.2	-216.6	-234.0
Capital and financial account	83.3	93.8	123.7	164.9	140.4	167.9	201.1
Capital account	48.4	48.1	46.6	51.6	39.9	46.9	49.5
Capital transfers	48.4	48.1	46.6	51.6	39.9	46.9	49.5
Of which : debt forgiveness	4.2	8.9	12.1	1.8	0.6	1.9	0.0
Financial account	-13.6	-8.1	50.9	90.8	100.5	121.0	151.6
Direct investment	7.9	5.0	7.6	9.2	9.3	52.5	67.4
Portfolio investment	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other investment	21.2	23.7	64.1	75.3	101.1	74.7	90.3
Public sector drawings	33.3	45.7	85.0	63.8	101.5	56.2	59.0
Of which : IMF purchases	8.3	6.3	12.3	6.6	13.3	0.0	0.0
Debt rescheduling (agreed)	0.0	13.3	18.2	2.7	0.9	0.0	0.0
Public sector amortization	-7.3	-8.6	-9.4	-13.8	-17.4	-16.5	-13.5
Of which : IMF repurchases	-1.2	-2.8	-3.2	-6.5	-6.6	-2.8	-0.5
Net change in arrears	4.3	-14.1	-39.2	-2.7	-4.1	0.0	0.0
Change in liabilities of the BEAC	7.9	3.7	13.8	9.5	0.0	0.0	0.0
Private sector (net)	-17.1	-3.1	13.9	18.4	21.1	35.0	44.8
Of which : deposit money banks	-8.0	3.4	7.4	9.7	0.0	0.0	0.0
Reserve assets	-42.6	-36.8	-20.7	6.3	-9.9	-6.2	-6.1
Errors and omissions	48.5	53.8	26.1	22.5	0.0	0.0	0.0
Financing gap (after IMF disbursements)	0.0	0.0	0.0	0.0	3.9	30.3	14.0
Memorandum items:							
External financing	89.6	82.2	90.2	105.5	142.4	119.7	109.5
Project financing (net)	52.0	59.5	67.8	74.1	97.5	87.4	95.4
Project loans	13.8	26.1	39.6	31.6	69.0	56.2	59.0
Project grants	44.2	39.2	34.4	49.8	39.3	45.0	49.5
Amortization	-6.0	-5.8	-6.2	-7.2	-10.8	-13.7	-13.0
Debt relief already obtained	4.2	22.2	30.4	4.5	1.5	1.9	0.0
Exceptional financing	29.0	14.5	31.2	29.5	47.5	30.3	14.0
Program loans already obtained	11.3	0.0	15.0	23.0	18.3	0.0	0.0
Possible IMF disbursement	0.0	0.0	0.0	0.0	13.3	0.0	0.0
Program grants already obtained	17.8	14.5	16.2	6.6	12.0	0.0	0.0
Residual financing gap	0.0	0.0	0.0	0.0	3.9	30.3	14.0
Of which : possible debt relief	0.0	0.0	0.0	0.0	3.9	0.0	0.0
Net change in external arrears (+/-increase)	4.3	-14.1	-39.2	-2.7	-4.1	0.0	0.0
(In percent of GDP, unless otherwise specified)							
Trade balance (deficit -)	-6.5	-3.4	-5.7	-6.0	-2.7	-4.4	-4.4
Current account (deficit -)	-12.7	-13.0	-14.8	-17.6	-14.0	-15.0	-16.4
Excluding official transfers	-20.9	-18.9	-19.2	-20.2	-17.0	-19.3	-19.1
Public external debt 1/	60.1	54.2	50.2	49.5	48.7	46.7	47.3
(in billions of CFA francs)	393.2	389.6	420.5	462.9	500.4	523.4	579.0
Debt service 2/	1.8	1.6	1.5	1.4	1.7	1.7	1.5
Debt-service ratio 2/ 3/	11.0	7.4	9.3	8.3	8.3	8.2	6.9
Gross official reserves (in billions of CFA francs)	59.5	90.1	98.6	85.7	90.8	99.7	106.3

Sources: BEAC; and staff estimates and projections.

1/ Stock of the direct and guaranteed public foreign debt (including the Fund).

2/ Excluding the Fund

3/ In percent of exports of goods and nonfactor services.

Table 5. Chad: Monetary Survey, 1994-98

	1994	1995	1996	1997				1998			
				March Est.	June Est.	Sep. Est.	Dec. Est.	March Prog.	June Prog.	Sep. Prog.	Dec. Prog.
	(In billions of CFA francs)										
Net foreign assets	30.2	62.3	64.7	45.3	38.4	51.2	58.5	60.5	57.6	61.8	63.5
Central bank 1/	36.3	65.9	63.8	44.7	35.9	42.3	47.9	49.9	47.0	51.2	52.9
Commercial banks	-0.4	2.0	0.9	0.6	2.4	8.9	10.6	10.6	10.6	10.6	10.6
Postal debt	-5.6	-5.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Medium- and long-term liabilities	-0.7	-0.1	0.0	0.0	0.0	-0.3	-0.1	-0.1	-0.1	-0.1	-0.1
Net domestic assets	49.8	45.6	64.9	84.0	81.4	61.7	59.0	69.3	69.1	61.7	65.4
Domestic credit	79.2	70.5	92.6	112.4	108.0	92.4	91.1	101.3	101.2	93.7	97.5
Claims on the government (net)	47.9	35.1	45.0	51.1	48.4	43.4	40.9	47.3	39.3	35.8	33.4
Treasury (net)	43.3	38.5	50.5	56.6	51.3	49.2	47.2	53.6	45.6	42.1	39.8
Central bank	44.9	38.0	56.0	59.9	60.7	65.8	63.0	61.0	58.5	56.5	53.7
Commercial banks	-1.6	0.5	-5.5	-3.3	-9.3	-16.6	-15.7	-7.4	-12.8	-14.4	-13.9
Others	4.6	-3.4	-5.5	-5.5	-2.9	-5.8	-6.4	-6.4	-6.4	-6.4	-6.4
Credit to the economy	31.3	35.4	47.6	61.3	59.6	49.0	50.2	54.1	61.9	58.0	64.0
Of which: crop credit	6.0	4.9	11.5	25.0	26.3	15.8	14.6	0.0	0.0	0.0	0.0
Other items (net)	-29.5	-24.9	-27.7	-28.4	-26.6	-30.7	-32.1	-32.1	-32.1	-32.1	-32.1
Of which: revaluation account	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8	-9.8
Money and quasi money	79.3	107.8	129.5	129.3	119.7	112.5	117.4	129.7	126.7	123.4	128.8
Currency outside banks 1/	56.3	76.6	99.7	98.2	86.8	81.4	81.3	93.7	86.2	84.9	88.9
Demand deposits	20.1	23.4	24.5	25.9	27.6	25.1	30.3	30.1	34.5	32.6	34.0
Time and savings deposits	2.9	7.9	5.4	5.2	5.3	6.0	5.9	5.9	5.9	5.9	5.9
	(Changes in percent of beginning-of-period money stock, unless otherwise specified) 2/										
Net foreign assets	66.8	40.5	2.2	-15.0	-20.3	-10.4	-4.8	1.7	-0.7	2.8	4.3
Net domestic assets	0.2	-5.3	17.9	14.8	12.7	-2.5	-4.5	8.7	8.6	2.2	5.4
Domestic credit	14.8	-11.0	20.5	15.3	11.9	-0.1	-1.1	8.7	8.6	2.2	5.4
Claims on the government (net)	8.1	-16.2	9.2	4.8	2.7	-1.2	-3.2	5.5	-1.4	-4.3	-6.4
Treasury (net)	-1.4	-6.1	11.1	4.7	0.6	-1.0	-2.5	5.5	-1.4	-4.3	-6.4
Credit to the economy	6.7	5.3	11.3	10.6	9.2	1.1	2.0	3.3	9.9	6.6	11.8
Credit to the economy (annual change)	11.4	13.3	34.3	28.8	25.2	2.9	5.6	7.6	23.2	15.4	27.5
Money and quasi money	66.3	36.0	20.2	-0.2	-7.6	-13.1	-9.3	10.4	7.8	5.0	9.7
Currency outside banks	42.9	25.6	21.4	-1.1	-9.9	-14.1	-14.2	10.6	4.2	3.1	6.5
Demand deposits	22.0	4.1	1.1	1.1	2.4	0.5	4.5	-0.2	3.6	2.0	3.2
Time and savings deposits	1.4	6.3	-2.3	-0.1	0.0	0.5	0.4	0.0	0.0	0.0	0.0

Source: BEAC; and staff estimates and projections.

1/ Beginning in 1994, the central bank's foreign assets and currency outside banks are adjusted upward by including 50 percent of the amount of unsorted bills at the national BEAC agency.

2/ For the quarterly data, changes are cumulative.

Table 6. Chad: Indicators of Fund Credit and Debt Servicing, 1994-2005

	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005
	(In percent)											
Outstanding Fund credit/quota 1/	68.8	99.9	109.5	109.8	129.8	121.5	120.1	114.1	100.1	78.1	54.1	30.1
Outstanding Fund credit/GDP 1/	4.9	6.3	4.0	3.9	4.2	3.6	3.3	2.8	2.3	1.6	1.0	0.7
Outstanding Fund credit/exports of goods and nonfactor services 1/	21.4	20.1	25.1	23.0	20.5	17.3	15.0	13.4	10.6	7.6	4.9	2.6
Debt service to the Fund/exports of goods and nonfactor services 2/	-1.8	-2.2	-2.9	-4.7	-3.5	-1.4	-0.4	-0.9	-1.6	-2.3	-2.3	-2.2
Debt service to the Fund/total debt service	13.8	23.3	23.8	36.0	29.5	14.6	5.2	11.5	18.6	26.7	29.0	29.0
Debt service to the Fund/ gross official reserves	-3.1	-3.8	-4.0	-8.6	-8.1	-3.3	-0.9	-1.7	-2.4	-2.8	-2.7	-1.8
Total debt-service ratio 2/	-12.7	-9.6	-12.3	-12.9	-11.7	-9.6	-7.2	-7.7	-8.8	-8.5	-7.8	-7.6
Memorandum items:	(In millions of SDRs)											
Exports of goods and nonfactor services	132.7	203.7	180.3	196.9	262.2	290.9	329.7	352.2	388.3	424.0	459.2	472.4
Total Fund credit outstanding	28.4	33.0	45.2	45.3	53.6	50.2	49.6	47.1	41.3	32.2	22.3	12.4
Of which : net use of Fund credit	8.9	4.6	12.2	0.1	8.3	-3.4	-0.6	-2.5	-5.8	-9.1	-9.9	-9.9
Total debt service	16.9	19.6	22.1	25.4	30.8	27.9	23.9	26.9	34.2	36.1	35.9	35.7
Of which : IMF	2.3	4.6	5.3	9.2	9.1	4.1	1.2	3.1	6.4	9.6	10.4	10.4
Gross official reserves	74.9	119.0	132.7	106.9	112.7	124.1	132.4	180.9	263.5	343.9	382.2	572.5
Nominal GDP	823.6	949.8	1127.9	1167.1	1275.5	1394.7	1525.0	1660.9	1810.4	1973.4	2151.0	1707.0

Sources: IMF, Treasurer's Department; and staff estimates and projections.

1/ Outstanding Fund credit includes SAF/ESAF loans and outstanding purchases.

2/ Debt service in percent of exports of goods and nonfactor services.

Figure 1
Chad: Selected Economic and Financial Indicators, 1994-2000

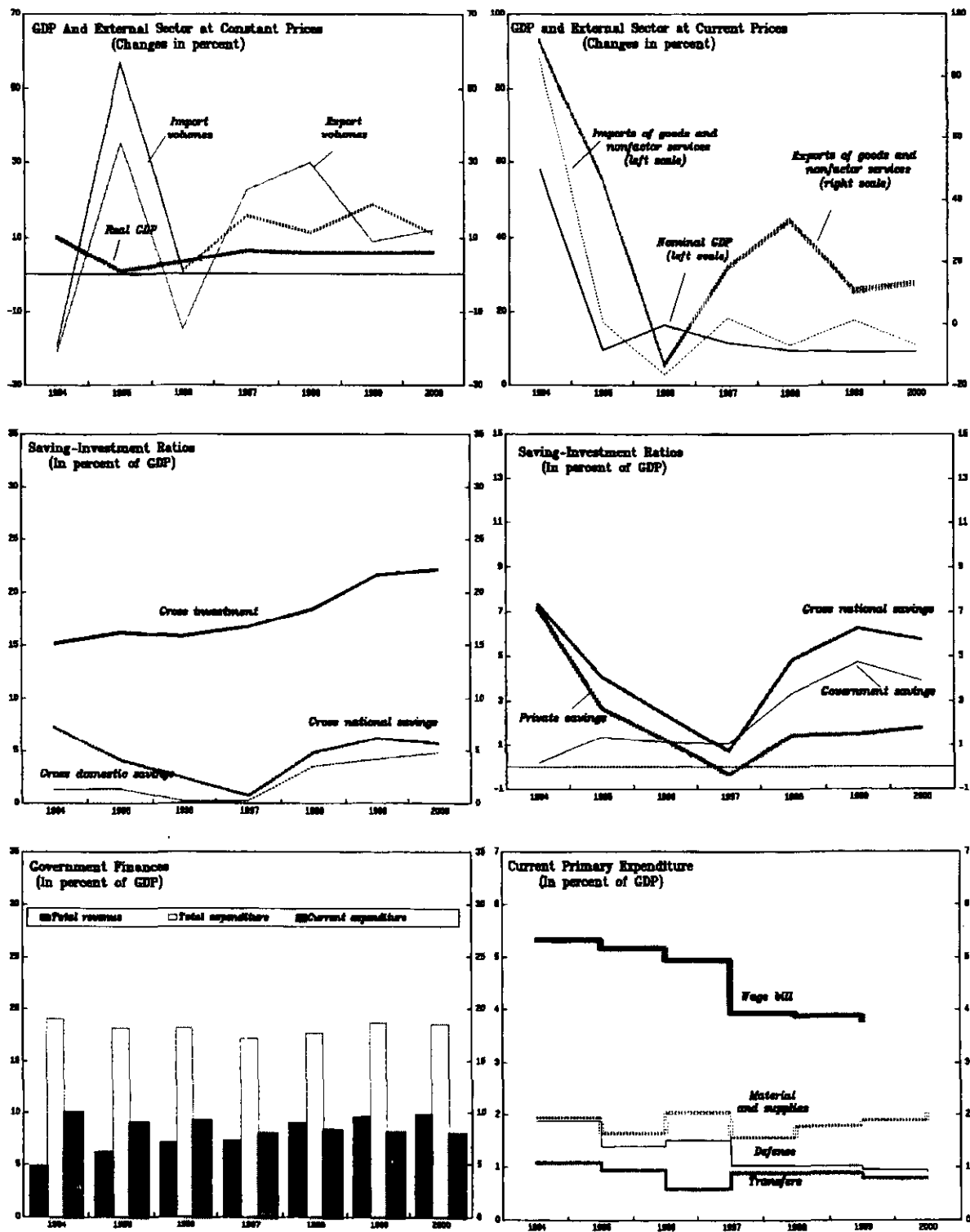
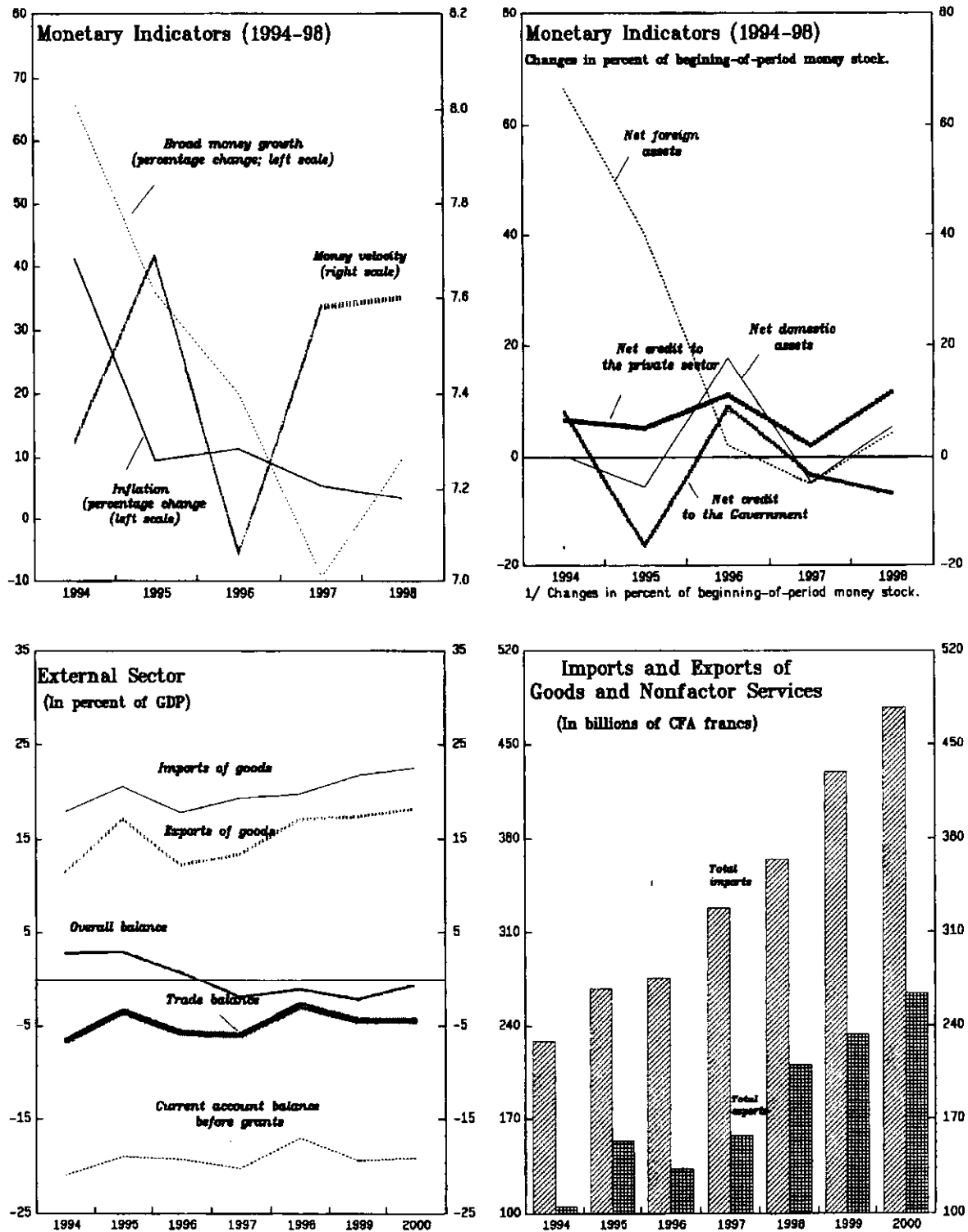
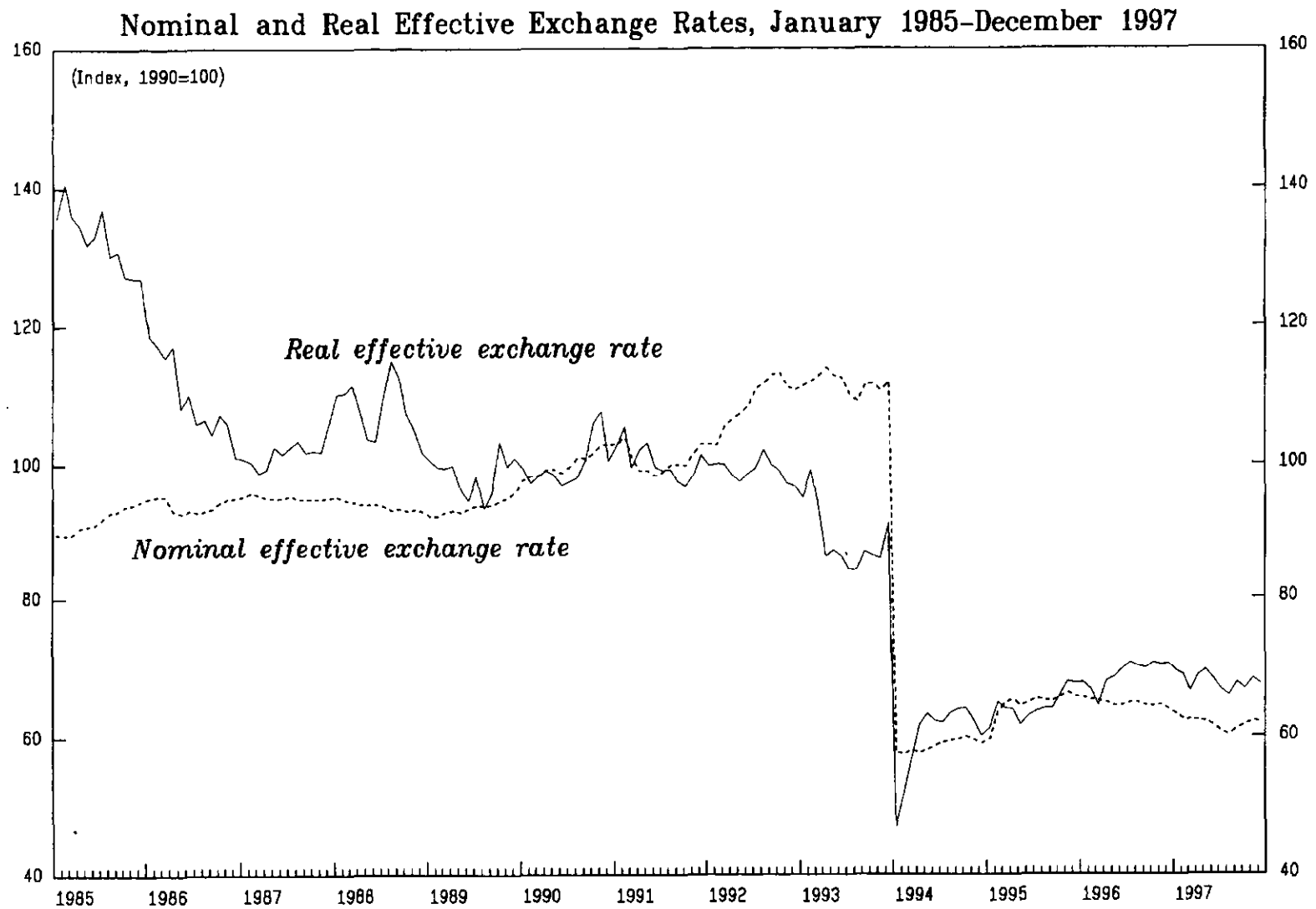


Figure 1
Chad: Selected Economic and Financial Indicators, 1994-2000
(concluded)



Sources: Chadian authorities; and staff estimates and projections.

Figure 2. Chad:



Sources: IMF, International Financial Statistics, and Information Notice System; and staff estimates.

**Chad: Third Annual Arrangement
Under the Enhanced Structural Adjustment Facility**

Attached hereto is a letter with an annexed Memorandum of Economic and Financial Policies ("Memorandum") dated April 13, 1998 from the Minister of Finance and Economy requesting from the International Monetary Fund the third annual arrangement under the enhanced structural adjustment facility, and setting forth the objectives and policies of the program to be supported by that arrangement.

To support these objectives and policies, the Fund grants the requested arrangement in accordance with the following provisions, and subject to the Instrument to Establish the Enhanced Structural Adjustment Facility Trust, as amended:

1. Under the third annual arrangement:
 - (a) The first loan, in an amount equivalent to SDR 8.26 million, will be available on April [], 1998 at the request of Chad, and
 - (b) The second loan, in an amount equivalent to SDR 8.26 million, will be available on October [], 1998 at the request of Chad, subject to paragraph 2 below.
2. Chad will not request disbursement of the second loan specified in paragraph 1(b) above:
 - (a) if the Management Director finds that the data at the end of September 1998 indicate that
 - (i) the ceiling on the net credit of the banking system to the government, or
 - (ii) the ceiling on the current primary balance, or
 - (iii) the floor on the reduction of the stock of domestic payments arrears, or
 - (iv) the floor for the elimination of the stock of external payments arrears, or
 - (v) the floor for customs revenue, or
 - (vi) the zero-ceiling on the outstanding stock of short-term debt of less than one year, or

- (vii) the zero-ceiling on the contracting or guaranteeing of new medium- and long-term non-concessional debt,

referred to in Table 1 attached to the Memorandum, was not observed; or

(b) if

- (i) by July 31, 1998, the government has not adopted, and transmitted to the CACEU, a new list of products exempted from the turnover tax, or updated the customs valuation database, as described in paragraphs 15 and 29 of, and in Table 1 attached to, the Memorandum, or
- (ii) by September 30, 1998, the government has not adopted the National Commission's civil service reform recommendations on streamlining civil service recruitment and establishing merit-based wage and advancement policies, as described in paragraphs 18 and 29 of, and in Table 1 attached to, the Memorandum, or
- (iii) by September 30, 1998 the government has not carried out its intentions with regard to the solicitation of bids for the privatization of SONASUT, as described in Table 1 attached to the Memorandum, or
- (iv) by September 30, 1998, the government has not carried out its intentions with regard to the solicitation of bids for the privatization of STEE, as described in Table 1 of the Memorandum; or

(c) if Chad

- (i) has imposed or intensified restrictions on payments and transfers for current international transactions, or
- (ii) has introduced or modified multiple currency practices, or
- (iii) has concluded bilateral payments agreements that are inconsistent with Article VIII, or
- (iv) has imposed or intensified import restrictions for balance of payments reasons, or

- (v) has incurred any new domestic payments arrears, as set forth in Table 1 attached to the Memorandum, or
 - (vi) has incurred any new external payments arrears, as set forth in Table 1 attached to the Memorandum; or
- (d) until the Fund has determined that the midterm review of Chad's program referred to in paragraph 5 of the attached letter and paragraph 30 of the Memorandum attached thereto has been completed.

If the Managing Director finds that any of the performance clauses that have been established in or under this paragraph 2 have not been met, the second loan specified in paragraph 1(b) above may be made available only after consultation has taken place between the Fund and Chad, and understandings have been reached regarding the circumstances in which Chad may request that second loan.

3. In accordance with paragraph 3 of the attached letter, Chad will provide the Fund with such information as the Fund requests in connection with the progress of Chad in implementing the policies and reaching the objectives supported by this arrangement.

4. In accordance with paragraph 4 of the attached letter, during the period of the third annual arrangement, Chad will consult with the Managing Director on the adoption of any measures that may be appropriate at the initiative of the Government or whenever the Managing Director requests such a consultation. Moreover, after the period of the third annual arrangement and while Chad has outstanding financial obligations to the Fund arising from loans under the arrangement, Chad will consult with the Fund from time to time, at the initiative of the Government or whenever the Managing Director requests consultation on Chad's economic financial policies. These consultations may include correspondence and visits of officials of the Fund to Chad or of representatives of Chad to the Fund.

April 13, 1998

Mr. Michel Camdessus
Managing Director
International Monetary Fund
700 19th Street, N.W.
Washington, D.C. 20431

Dear Mr. Camdessus:

1. On behalf of the government of Chad, I have the honor to transmit to you the attached memorandum on economic and financial policies. It is based on the policy framework paper (PFP) for the 1998-2000 period, which was prepared with assistance of the staffs of the International Monetary Fund and World Bank and which is being forwarded to you today under separate cover.
2. The memorandum on economic and financial policies briefly outlines the program which the government of Chad intends to implement for the 1998-2000 period, and describes in detail the objectives, policies, and measures relating to the program period from April 1, 1998 to March 31, 1999. In support of this program, Chad requests the approval of the third annual arrangement under the Enhanced Structural Adjustment Facility (ESAF) in an amount of SDR 16.52 million. In this context, Chad also requests an extension of the ESAF commitment period to March 31, 1999.
3. The government of Chad will provide the International Monetary Fund with any information it may request regarding progress with implementation of the economic and financial policies and the measures necessary for achieving the objectives of the program.
4. The government is convinced that the policies and measures described in the attached memorandum will make it possible to achieve the program objectives but undertakes to take any additional measures which may prove necessary. During the period of the third annual arrangement, Chad will consult as necessary with the Managing Director of the Fund, either at the initiative of the government or whenever the Managing Director requests such consultations. In addition, upon expiry of the third annual arrangement, and during the entire period during which Chad has financial obligations to the Fund associated with loans under this arrangement, Chad will consult with the Fund periodically on the economic and financial policies of Chad, either at the initiative of the government or whenever the Managing Director requests such consultation.

5. Finally, the Fund will conduct a midterm review under the third annual arrangement. This review, which will be completed by end-December 1998, will examine the progress made with program implementation over the first six months, determine the most appropriate measures aimed at achieving program objectives, and assess the performance indicators for the remaining period of the arrangement.

Sincerely yours,

/s/

Bichara Chérif Daoussa
Minister of Economy and Finance

Attachment: Memorandum on Economic and Financial Policies for 1998/99

MEMORANDUM OF ECONOMIC AND FINANCIAL POLICIES

N'Djamena, April 13, 1998

I. INTRODUCTION AND RECENT DEVELOPMENTS

1. Since mid-1995, Chad has implemented a wide-ranging structural adjustment program, supported by the International Monetary Fund under a three-year Enhanced Structural Adjustment Facility arrangement covering 1995-98. The program also received financial assistance from the World Bank and other multilateral and bilateral donors in the form of balance of payments loans, exceptional financing, contributions to the financing of public investment projects, and external debt relief.

2. Chad's economic progress in the first two years of the program is indisputable. By concentrating on an overhaul of indirect taxation and customs tariffs, liberalization of the economy and foreign trade, and the stimulation of private initiative, the reforms of 1995 and 1996 brought about a sustained upturn in economic activity, reduction of inflation, and the reduction of domestic and external disequilibria.

3. In the second and third quarters of 1997, however, this momentum of economic reform and rehabilitation slowed somewhat, in the midst of persistent weaknesses in fiscal management and delays in the implementation of structural reforms. Therefore, to ensure the success of the third annual program under the ESAF, the government decided late in 1997 to refocus its efforts on strengthening government finances and accelerating the preparatory work for reform of the large public enterprises and the civil service. The government is of the view that these efforts, aimed at consolidating its economic and financial program, have yielded satisfactory results. Nonetheless, it is aware that further strengthening of policies is needed as some of the anticipated objectives were not fully achieved.

4. Economic and financial performance was generally satisfactory in 1997, although fiscal performance fell short of target. Real GDP growth is estimated at 6.5 percent. This was due, in part, to a good crop, which resulted in agricultural output increasing by 11.4 percent, and to the recovery of activity in the industrial sector (17.6 percent). The transportation and nongovernment trade and services sectors also grew by 4.6 percent.¹ However, growth in construction and public works was less than 2 percent because of a slowdown in the public investment program. The rise in consumer prices during the year is estimated at less than 1 percent, confirming that inflation is under control.

¹These estimates are based on the new national accounts adopted by the government in January 1998.

5. Compared with 1996, considerable progress was made in the area of government finance, with a 14.8 percent increase in fiscal revenue and a contraction of nearly 5 percent in current primary expenditure. However, the government's targeted current fiscal deficit of 0.2 percent of GDP could not be achieved, mainly because of a revenue shortfall of CFAF 6 billion (0.6 percent of GDP), of which only CFAF 1.5 billion (0.2 percent of GDP) was offset by expenditure compression. Altogether, the current budget deficit amounted to CFAF 6.4 billion, or 0.7 percent of GDP.²

6. Revenue amounted to CFAF 68.4 billion (7.3 percent of GDP), or a monthly average of CFAF 5.7 billion, compared with CFAF 5 billion in 1996. While this performance is satisfactory, it is still below potential, particularly in the areas of customs and petroleum import taxation. Current expenditure rose to CFAF 74.7 billion (8 percent of GDP), almost CFAF 1.5 billion less than projected, essentially because allocations to the reintegration of former soldiers were not spent. Actual expenditure in 1997 was in line with budgetary priorities. In particular, the wage bill was kept within the ceiling established in the October 1997 revised budget law, while spending in the priority sectors increased by 55 percent, mostly in the education and health sectors. Military expenditure was also on target. With investment expenditure of CFAF 85.4 billion, the overall deficit (commitment basis, excluding grants) was 9.8 percent of GDP, which compares with a projected 9.0 percent. Exceptional financing amounted to CFAF 29.5 billion, which made it possible to clear some CFAF 10 billion of domestic arrears.

7. The balance of payments' current account deficit, excluding grants, is estimated at 20.2 percent of GDP in 1997, a deterioration of 1 percentage point from 1996, reflecting a sharp increase in imports and a deterioration in the terms of trade.

8. Net domestic assets of the banking system declined by 4 percent of beginning-of-period money, with credit to the government dropping sharply, while credit to the economy increased. There was a weakening in the external position of the central bank, which resulted in a decline in net foreign assets of the banking system of 5 percent of the beginning-of-period money stock. Broad money declined by 9 percent.

9. The privatization program advanced markedly in 1997, with the privatization of the Banque Méridien BIAO Tchad (BMBT-BIAT) and the Office National Hydraulique Pastorale et Villageoise (ONGPV), the government's decision to privatize the sugar company (SONASUT), as well as progress in the elaboration of new telecommunications, electricity, and water codes. Also, the national commission on civil service reform began its work with a national seminar, study trips, and preliminary notes by various specialized subcommissions. Finally, some 1,500 employees were removed from the government payroll, and the demobilization program of 7,300 soldiers was concluded successfully, with technical assistance from the World Bank.

²All ratios to GDP are calculated according to the new national accounts.

II. MEDIUM-TERM STRATEGY

10. Chad's medium-term economic growth potential is still constrained by the chronic lack of infrastructure and skilled human resources. To overcome these structural weaknesses, the government's strategy for 1998-2001, as described in the policy framework paper, centers on the implementation of economic and financial policies aimed at (a) improving the overall productivity of the economy, (b) strengthening the country's export and production base, and (c) encouraging and promoting private sector development. Based on increased investment and a more efficient mobilization of domestic savings, this strategy should result in an average annual real GDP growth rate of 6 percent, while stabilizing inflation below 3.5 percent and limiting the external current account deficit to 19 percent of GDP in 2000. Structural reforms will be the pivotal element of this strategy, with particular emphasis on increased liberalization of the economy and improvements in the implementation of the public investment program.

11. The aim of government financial policies is to generate increasing current budget surpluses throughout the period, reaching close to 2 percent of GDP by 2000, in order to allow the national budget to make a significant contribution to finance investment. Accordingly, tax policy will continue to focus on improving tax yield, with a view to raising revenues to 9.8 percent of GDP in 2000. Another policy focus will be on rationalizing public expenditure and increasing budgetary allocations to priority sectors. Spending will be made more effective by improving budget preparation and execution control procedures. It is projected that current expenditure will stabilize at around 8 percent of GDP beginning in 1999. The civil service reform and the restructuring of the social security system will also be essential in the fiscal consolidation process.

III. THE 1998-99 PROGRAM

12. The third annual program will cover the period April 1, 1998-March 31, 1999. It envisages (a) real GDP growth rate of some 6 percent; (b) an inflation rate of 3.5 percent; and (c) an external current account deficit, excluding grants, of 17 percent of GDP. Within this framework, government policies will continue to focus on fiscal consolidation through measures aimed at improving the performance of tax and customs units, and strengthening fiscal discipline. Furthermore, the government will pay particular attention to the restructuring of large semipublic enterprises and the civil service, as well as accelerating the ongoing privatization program. It will also encourage private initiatives, particularly those that are export oriented.

13. Fiscal consolidation will continue to receive close government attention during the third annual ESAF program. Revenues are projected to reach 9 percent of GDP in 1998, which, with a ceiling on current expenditure of 8.3 percent of GDP, would result in a current budgetary surplus of 0.7 percent of GDP. With investment equivalent to 9.4 percent of GDP, the overall deficit, excluding grants, is projected at 8.6 percent of GDP.

14. Fiscal revenue is projected at CFAF 92.9 billion—CFAF 1 billion less than budgeted, owing to an expected shortfall of taxes on petroleum products. To attain this objective, the government will continue its efforts to improve tax administration and combat tax evasion and fraud. The government introduced a single business tax for small enterprises (IGL), effective January 1, 1998, in replacement of the business license tax, the business profits tax (BIC, BA, and BNC), the flat tax, the apprenticeship tax, and the turnover tax (TCA), so as to better capture the informal sector and improve small-taxpayer administration. It has also decided

- To increase to 4 percent the rate of the presumptive tax levied at the customs.
- Effective January 1, 1998, to centralize at the treasury all revenue from earmarked taxes, which will henceforth be distributed through special accounts opened on behalf of the recipient agencies, pursuant to the current regulations;
- To improve the regulations governing the system of taxation of externally financed government projects, in order to simplify the system, ensure its fiscal neutrality, and increase its effectiveness by redressing the weaknesses that have emerged since its implementation in September 1997; and
- To expedite the collection of back taxes.

15. The government has set a customs revenue target, excluding earmarked taxes, of CFAF 27.5 billion in 1998. To achieve this objective, the government has decided to reinforce the customs directorate's exclusive responsibility for combating smuggling, and to strengthen its surveillance and control activities, including through the assignment of a national guard unit (GNNT) to these duties. Accordingly, the government has issued a decree in which it identified the GNNT unit to be assigned, specified its role in combating customs fraud, and placed it under the direct supervision of the customs director. Within the Central African Customs and Economic Union (CACEU), the government will also work toward an update of the list of imports exempted from the turnover tax, so as to eliminate exemptions on goods that are not basic necessities. It will send to the CACEU executive committee a request for revision of the exemption list that would eliminate transportation vehicles and their parts, professional equipment and nonessential food products. A corresponding proposed amendment to Annexes I and II of law Nr. 6/PR/95 dated March 4, 1995 will be referred to the National Assembly for its fall session at the latest. In the second half of 1998, these measures will be supplemented by actions aimed at strengthening customs administration, in particular, by simplifying customs declarations and clearance procedures, updating the valuation database, and strengthening the system for the authorization of customs agents.

16. The government's expenditure policy will continue to focus on improving public expenditure management and effectiveness, with a view to (a) containing nonpriority current expenditure, particularly the wage bill and subsidies to public agencies; (b) strengthening the

priority sectors (education, health, social affairs, and public works); (c) accelerating the repayment of domestic arrears; and (d) increasing the budgetary contribution to investment and improving the selection and programming of public investment projects.

17. Current expenditure is projected at CFAF 85.3 billion. This projection is CFAF 1 billion less than the budgeted amount, and takes into consideration an expected shortfall of taxes on petroleum products. Within these limits, the budget for the priority sectors has been raised to CFAF 7 billion, which is an increase of 48 percent over the 1997 amount. In contrast, the budget allocations for other sectors have been limited to CFAF 12.3 billion, an increase of 23 percent over 1997. With the government decision to maintain the freeze on wages, recruitment (outside priority sectors) and the financial impact of promotions until end-1998, the nonmilitary wage bill is projected at CFAF 32 billion. Public investment expenditure will total CFAF 96.3 billion, including CFAF 8.9 billion financed with budgetary resources. Priority will be given to education/training (9.5 percent), health (9.4 percent), and infrastructure (25.5 percent).

18. The government will continue to monitor closely the work of the national commission responsible for reform of the civil service, particularly with respect to revising the laws governing the civil service, evaluating the staffing needs of the various ministries, improving personnel management, and streamlining civil service recruitment and advancement procedures. The commission is expected to submit its initial recommendations by end-June 1998 for implementation in the second half of the year.

19. The government is determined to clear the stock of domestic arrears by end-1999, which were estimated at a maximum of CFAF 40 billion at end-1997, including CFAF 15 billion in cross debts with public enterprises and agencies. The government plans to repay CFAF 25.6 billion in 1998. It is also committed to budgeting all offsetting operations it undertakes with enterprises holding claims on the government; such operations will be settled solely through an exchange of checks.

20. To improve Chad's social welfare system and ensure its medium- to long-term viability, the government has launched audits of the CNRT (Caisse Nationale de Retraite du Tchad) and the CNPS (Caisse Nationale de Prévoyance Sociale) and has decided to revise the Social Security Code. The results and recommendations of these audits are expected in September 1998 and will be discussed, along with the restructuring measures to be taken, with World Bank and IMF staff during the midterm review of the program. In the meantime, the government will continue to honor its obligations vis-à-vis the CNRT and the CNPS on a regular basis.

21. In the area of monetary policy, the primary objective of the BEAC is to maintain price stability and consolidate the foreign exchange reserves of the zone as a whole. Chad's contribution to the attainment of this objective will be to keep government's reliance on credit, excluding use of IMF resources, unchanged at its end-1997 level. In terms of the beginning-period money stock, net domestic assets of the banking system are slated to

increase by only 10 percent. Thus, with a money supply growth projected at 12 percent in 1998, the country's external assets should increase by the equivalent of 2 percent of beginning-period money. The national monetary authorities will encourage the Chadian banks to participate in the regional interbank market and, at the regional level, will advocate the liberalization of money market interest rates.

22. Strengthening the banking sector remains a government priority. To that effect, the monetary authorities will continue to support the activities of the regional banking commission (COBAC) by ensuring that the commercial banks comply strictly with prudential ratios and regulations governing external transfers. The government notes the rejection of BICIG's capital participation in the BTCD by COBAC's decision Nr. D-98-11, dated February 2, 1998. Following this decision, it will take all necessary steps to ensure the success of BTCD's privatization. The government intends, with the accord of the COBAC, to work to complete the privatization of the BDT.

23. In 1998, the external current account deficit, excluding grants, should come down to 17 percent of GDP, 3 percentage points less than in 1997, owing mainly to the sustained growth of export volumes and a 7 percent improvement in the terms of trade. Chad will continue to benefit from substantial external assistance in the form of grants and highly concessional loans in support of the investment program, which will total close to CFAF 87.5 billion. Exceptional financing requirements, excluding debt relief and Fund disbursements, are estimated at CFAF 30.3 billion and are expected to be covered by assistance from multilateral and bilateral donors.

24. The government will continue to pay particular attention to improving external debt management, with a view to avoiding any delays in the payment of obligations falling due. It has initiated efforts to reach an agreement on debt rescheduling with Russia, a new Paris Club member. It will endeavor to conclude debt relief agreements with non-Paris Club creditors as quickly as possible.

25. During the program period, the government does not intend to introduce exchange restrictions or multiple currency practices or to conclude bilateral agreements that are contrary to Article VIII of the Articles of Agreement of the International Monetary Fund. Moreover, it is not planning to introduce or intensify import restrictions for balance of payments reasons. Lastly, the government will continue to work toward the rapid conclusion of the agreement on the harmonization of exchange regulations in the BEAC zone, ensuring that its provisions are compatible with those of Article VIII of the Fund's Articles of Agreement.

26. The government is determined to successfully complete the restructuring of the large parastatal enterprises:

- **In the cotton sector**, the government has informed the IMF and the World Bank of its intention to privatize the oil and soap manufacturing unit of

COTONTCHAD. Moreover, to honor its commitments regarding the abolition of the monopoly, the government will adopt before end-December 1998 an action plan for the cotton sector, designed to abolish all monopolies that COTONTCHAD currently enjoys in this sector. The action plan will define the regulatory, institutional, fiscal, and technical components of the sector's reform program. Based on this plan, the government will elaborate a schedule of key reform steps.

- **In the sugar sector**, the government will finalize its plan to privatize SONASUT before end-March 1998. The two-stage action plan envisages the creation of a new company and investment by a private strategic partner in this enterprise, so as to increase its capital. This will be followed by the sale of government-held shares so as to reduce government participation to 15 percent. Also, the government has reduced the reference value for imported sugar by CFAF 20 to CFAF 350 per kilogram. Within the privatization framework, the government, in consultation with the World Bank and the IMF, will adopt a mechanism of continuing reduction in the reference price according to a preestablished schedule, with a fixed date for the elimination of the reference price.
- **In the electricity sector**, the government intends to adopt the new electricity code by end-July 1998, and to begin to seek bids for privatization of the management of STEE by end-September 1998. Furthermore, a comprehensive agreement on the amount, schedule, and the terms and conditions for payment of the government's debt to the STEE was signed by both parties.
- **In the telecommunications sector**, the government intends to adopt a new telecommunications code before end-April 1998, with technical advice from the World Bank, and begin the restructuring of the sector before end-June 1998. This restructuring will result in the creation of a National Postal Office (ONP), which will be an autonomous public agency, and the establishment of a new telecommunications enterprise, which will then be privatized. Also, the government will solicit competitive bids for a license for a cellular telephone operator before end-June 1998.
- Recently the government has given the management of the Hotel du Chari over to a private operator. It intends to accelerate the **privatization operations** of three small and medium-sized businesses already in progress: Air Tchad, road maintenance (SNER), and the slaughterhouse (Abattoirs Frigorifiques de Farcha). The government intends to solicit bids for these three enterprises before end-September 1998.

- **In the area of business law**, the government will endeavor to complete the work of adapting Chadian business legislation to the general framework defined in the treaty on the harmonization of business law in Africa (OHADA). Moreover, in consultation with its CEMAC zone partners, the government will adopt an investment code by end-June 1998.

27. The government is determined to remedy the current weakness of the national statistics system and plans to submit a draft statistics law to Parliament by end-1998. In cooperation with its development partners, it has prepared a multiyear action program to modernize the statistics system, based in particular on (a) strengthening human resources; (b) upgrading equipment and offices; and (c) increasing financial resources. The government has adopted new national accounts, effective January 1, 1998, with technical assistance from the UNDP.

28. The program will be monitored on a quarterly basis with the help of quarterly quantitative benchmarks, structural benchmarks, and reference indicators, as well as a midterm review. The quantitative benchmarks for end-June and end-December 1998 and end-March 1999 constitute indicators, and those for end-September 1998 constitute performance criteria. The quantitative benchmarks include (a) a ceiling on net bank credit to the government; (b) a ceiling on the primary current balance; (c) a floor for customs revenue; (d) a floor for the reduction of domestic arrears; (e) no accumulation of external payments arrears; and (f) no government or government-guaranteed nonconcessional foreign borrowing, with the exception of borrowing for petroleum projects, and no short-term foreign borrowing except for normal import financing. The amount of exceptional financial assistance and expenditure on priority sectors will serve as program indicators.

29. The following will serve as structural performance criteria for end-September 1998: (a) adoption by the government of the recommendations on the civil service recruitment, wage, and promotion policies; (b) solicitation of bids for the privatization of SONASUT; and (c) solicitation of competitive bids for the privatization of the management of STEE, as well as elaboration by the government, and transmission to the CACEU, of a new list of products exempted from the turnover tax and an updating of the customs valuation database before end-July 1998. The structural benchmarks for the program are (a) solicitation of competitive bids for an independent cellular telephone operator before end-June 1998; (b) solicitation of bids for Air Tchad, SNER, the BTCD, and Abattoirs Frigorifiques de Farcha before end-September 1998; (c) adoption of a privatization plan for the oil and soap operations of COTONTCHAD before end-December 1998; and (d) adoption of a restructuring program for the CNRT and CNPS before end-December 1998.

30. The government of Chad will conduct a midterm review of the program with Fund staff by end-December 1998. The government considers that the measures adopted are sufficient to attain the program objectives. In the event that program benchmarks are not met, the government stands ready to initiate consultations with Fund staff to identify the necessary corrective measures.

Table 1. Chad: Quantitative Performance Criteria and Benchmarks for
the Third Annual Arrangement Under the ESAF, April 1 1998 - March 31, 1999

	Stock	Cumulative Changes from December 1997				
	Dec. 1997	1998				1999
	Prov.	March Ind. benchmarks	June Benchmarks	September Perf. crit.	December Benchmarks	March Ind. bench.
(In billions of CFA francs)						
Performance criteria and benchmarks 1/						
Net credit of the banking system to the government 2/	47.2	6.4	1.0	-5.1	-7.5	-9.3
Domestic payments arrears 3/	...	-3.8	-3.8	-12.2	-25.6	-28.1
External payments arrears 3/ 4/	4.1	-1.7	-4.1	-4.1	-4.1	-4.1
Of which: in cash		-1.7	-1.7	-1.7	-1.7	-1.7
External loans contracted or guaranteed by the government on nonconcessional terms: 5/ 6/						
Less than one year's maturity	0	0	0	0	0	0
Medium- and long-term loans	0	0	0	0	0	0
Current primary balance 7/	7.1	2.3	7.0	12.1	17.4	20.9
Customs revenue 8/	20.7	4.4	11.0	18.6	27.5	32.6
Monitored variables						
Nonwage expenditure of priority sectors	4.7	1.7	3.5	5.2	7.0	9.3
Anticipated external program financing 9/	...	2.0	6.2	23.3	34.2	34.2
Structural performance criteria						
Adoption of the civil service reform recommendations on recruitment, pay, and promotion policy				End-September 1998		
Solicitation of bids for the privatization of SONASUT				End-September 1998		
Solicitation of bids for the privatization of STEE				End-September 1998		
Adoption by the government of the new list of products exempted from the turnover tax and updating of the customs valuation database				End-July 1998		
Structural benchmarks						
Solicitation of bids for granting a license to an independent cellular phone company				End-June 1998		
Solicitation of bids for the privatization of Air-Tchad, SNER, BTCD, and the slaughterhouse of Farcha.				End-September 1998		
Adoption of a privatization plan for COTONTCHAD's soap and oil operations				End-December 1998		
Adoption of a restructuring program for the CNRT and CNPS				End-December 1998		

1/ The principal adjusters in case of shortfalls of external assistance are as follows: (a) shortfalls before end-1998 would imply a postponement in the elimination of domestic payments arrears up to the amount projected for 1998; (b) in case of higher domestic tax revenue or external exceptional financing, one half of the excess would be used to increase the settlement of payments arrears to suppliers and the other half to reduce net credit of the banking system to the government.

2/ Subject to an adjustment in line with the contingency provision in footnote 1 above.

3/ No new accumulation of arrears is allowed, with the exception of external debt-service payments for which a rescheduling or a cancellation is foreseen. The reduction in domestic arrears is subject to an adjustment related to the availability of external financing (see footnote 1 above).

4/ The stock of arrears at end-December 1997 includes arrears owed to Russia, estimated at CFAF 2.6 billion.

5/ Any loan with a grant element less than 35 percent. The discount rates used in the calculation of concessionality are six-month averages of the OECD CIRRS (for loans with maturities of up to 15 years) and ten-year averages of the CIRRS (for loans with maturities exceeding 15 years), augmented by a margin related to the repayment period.

6/ Excluding normal import-related credits, on a disbursement basis, and credits for the financing of oil exploitation projects.

7/ Including noncommitted expenditure.

8/ Excluding earmarked revenues and those resulting from public contract taxation.

9/ Including debt relief.

CHAD: Relations with the Fund
(As of March 31, 1998)

I. Membership Status: Joined 7/10/63; Article VIII

II. General Resources Account:	SDR Million	% Quota
Quota	41.30	100.0
Fund holdings of currency	46.18	111.8
Reserve position in Fund	0.28	0.7

III. SDR Department:	SDR Million	% Allocation
Net cumulative allocation	9.41	100.0
Holdings	0.01	0.1

IV. Outstanding Purchases and Loans:	SDR Million	% Quota
Stand-by arrangements	5.16	12.5
Structural Adjustment Facility (SAF) arrangements	5.81	14.1
Enhanced Structural Adjustment Facility (ESAF) arrangements	33.04	80.0

V. Financial Arrangements:

Type	Approval Date	Expira- tion Date	Amount Approved (SDR Million)	Amount Drawn (SDR Million)
ESAF	9/01/95	8/31/98	49.56	33.04
Stand-By	3/23/94	3/22/95	16.52	10.33
SAF	10/30/87	10/29/90	21.42	21.42

VI. Projected Obligations to Fund (SDR Million; based on existing use of resources and present holdings of SDRs):

	Overdue 3/31/98		Forthcoming			
		1998	1999	2000	2001	2002
Principal	0.0	6.9	3.4	.6	2.5	5.8
Charges/Interest	0.0	.6	.6	.6	.6	.5
Total	0.0	7.5	4.0	1.2	3.1	6.3

Chad: Relations with the World Bank Group

At the beginning of the Bank's support of structural adjustment in Chad, a financial rehabilitation credit (FRC) was approved in July 1988. The objectives of the program were to re-establish the financial profitability of the cotton sector and to strengthen policy reforms in public finances. However, owing to the deteriorating fiscal performance, the FRC was suspended in July 1991. The residual balance was canceled in December 1992, and the credit was closed.

The Bank's medium-term goal is to work with Chad toward an approach of managing development in which external assistance is pooled in support of an integrated national program that is adequately focused on poverty. The foundation for this approach is being laid in an interim strategy for 1996-98, that seeks to help Chad restore minimum critical public sector capacity, focus public expenditures on poverty reduction, and promote sustainable use of natural resources.

The Bank's strategy for Chad supports investments in the productive sectors (agriculture, livestock, and energy), as well as transport infrastructure and the social sectors (health and education). In 1994, particular emphasis was given to the support of the devaluation, with a US\$20 million economic recovery credit (ERC) and the development of human resources and the strengthening of economic management. A structural adjustment credit (SAC) of US\$30 million was approved in early 1996 in support of the Chadian structural adjustment program. A second SAC was approved on June 30, 1997.

A. Statement of IDA Credits (As of May 12, 1997)

(In millions of U.S. dollars)				
Credit No.	Fiscal Year	Purpose	IDA	Undisbursed
Cr.21560	1990	Social Development Program	13.40	0.01
Cr.21840	1991	Engineering	11.00	5.15
Cr.25010	1993	Basic Education	19.30	13.08
Cr.25200	1993	Transport Sector II	37.00	0.13
Cr.26140	1994	Public Works and Capacity Building (ATETIP)	17.40	11.63
Cr.26260	1994	Health and Safe Motherhood	18.50	4.92
Cr.21561	1995	Social Development Program	9.80	0.50
Cr.25201	1994	Transport Sector II	12.70	5.99
Cr.26850	1995	Agricultural Services	24.53	15.11
Cr.26920	1995	Population and Aids	20.40	13.99
Cr.28180	1996	Capacity Building	9.50	5.14
Cr.N0300	1997	SAC II	25.00	0.00
Total number of credits = 12				
Total credit held from the Bank and IDA			556.23	
Of which: repaid			18.02	
Total now held by the Bank and IDA			538.21	

Chad: Relations with the World Bank Group (concluded)

B. Statement of IFC Investments

In April 1996, the Board of Governors of the IFC authorized Chad's membership. Chad now needs to complete required membership formalities.

C. Activities Under Preparation

In 1997, the World Bank is continuing its technical assistance program (Capacity-Building Project for Economic Management). A household energy project in the amount of US\$6 million will go to the Board this calendar year. Work on the public expenditure review, focusing on education, will continue throughout the year. Finally, support to the Chad/Cameroon Petroleum Pipeline Project is under consideration.